"A" LEVEL ECONOMICS

EXAM PREPARATION

RESOURCE NOTES

AND

SOLUTIONS

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DISCUSS WHETHER EFFICIENT ALLOCATION OF RESOURCES IS ONLY POSSIBLE WITH THE PRESENCE OF GOVERNMENT INTERVENTION. [15]

In a market economy, resources are allocated according to price mechanism. The price mechanism is able to allocate resources efficiently. Efficient allocation of resources can be achieved when prices act as a signal to both consumers and producers in resource allocation. The prices decide what and how much to produce, how to produce and for whom to produce. On the case of what and how much to produce, consumers express their valuation of a good through prices. When there is increase in demand for a good there will be an increase in the price of the good. Producers then allocate more resources to the production of the good then to the alternate good with lower price using the same amount of resources. Consumers' welfare is maximised as goods that are valued more will be produced in the free market. The price differences across the goods thus signal the quantity that should be produced.

Given the assumption of perfect competition, producers would adopt the least-cost technique of production to produce the goods and services, thus ensuring that productive efficiency is achieved.

Goods are produce for those who are able and willing to pay. The ability to pay determine the factor price while the willingness to pay determine the product price. Consumers would be willing to pay more for the goods that they value more. This ensure that consumers' welfare is maximised as they get to enjoy the goods that give them most satisfaction.

As resources are allocated to the production of goods and services that society value more, society's welfare is maximised. Hence allocative efficiency is achieved.

However, the price mechanism may fail in certain circumstances such as when the production or consumption of goods general externalities and where public goods are concerned, in the case of market dominance and also imperfect information. Because of market failure there is thus the justification for government intervention.

Public goods is a form of complete market failure as it exhibit the characteristic of non-rivalry and non-excludability. Due to non-excludability in consumption, even non-paying users cannot be excluded from consuming the good. Hence no one will want to pay for the good and therefore demand is concealed and preferences are not revealed. Non rivalry in consumption means that the supply of public good is not depleted by an additional user and hence the marginal cost of producing the public good is zero. This the price charged for the good must also be zero, based on the condition for allocating efficiency where price=marginal cost. This the market fails as it is impossible to charge a market price for the public good. Thus the free market does not priced the public good even if there is demand for these goods. Hence there is market failure as the private market fails to allocate resources to produce public goods. There is thus the need for public good to be provided by the government.

Market failure can also be partial where some resources are still allocated to the production of good, but not of the correct quantity. Such market failure occurs under circumstances which involve a consumption or production activity that generates externalities, consumption of merit/demerit goods and production of goods by a firm with monopoly power.

An externality is known to arise if a third party is affected by the decisions and actions of others. Consuming and producing certain products often have third parties who are not involved in the transaction. Thus externalities occur when there is divergence between private benefit and social benefit, or between private cost and social cost.

For example, positive externalities arising from an economic activity are the incidental benefits to third parties that are not taken into account by those who undertake the activity. A positive externality will cause social marginal benefit to exceed private marginal benefit. Under the price mechanism, there would be under-allocation of resources to the production and/or consumption of good conferring externalities.

Negative externalities arising from an economic activity are the incidental costs to third parties that are not taken into account by those who undertake the activity. This happens when social marginal cost is greater than private marginal cost. This price mechanism would over-allocate resources to the production and/or consumption of a good conferring negative externalities.

Therefore to reduce these externalities, it is only possible with government intervention.

However even with government intervention, efficient allocation of resouces may not be achieved due to imperfect information or political interest.

Generally, the market does achieve an efficient allocation of resources for most goods and services that are marketable and externalities are not created. Government intervention is thus not required to in most products markets. This is seen in the real world where most economics are market based. When market fails, it is not always necessary that government intervention could bring about efficient allocation of resources as government may lack resources.

EXPLAIN THE ROLE OF THE PRICE MECHANISM IN ALLOCATING RESOURCES IN AN ECONOMY

As resources are scarce relative to the insatiable demands of human wants, economies are concerned with basic questions of allocation. The free market price mechanism (is the forces of demand and supply) answers the questions of- What and how much to produce? For whom to produce? How to produce?

In a market, resources are allocated based on the demand/supply in which prices plays an signalling function as it allocates resources to the production of different types of goods. It also acts as signalling mechanism between buyers and sellers telling them how much and what to produce.

What and how much to produce?

Resources are limited and cannot produce enough goods and services to satisfy human wants which are unlimited.

The economy must make a choice on the types of goods and services that it wants to make available to the country. For example, an economy has to decide on the different types of goods to produce, determined jointly by producers and consumers through the signalling role of prices and their self-interest. Price shows how much consumers are willing and able to pay , signalled by the demand curve. How much producers are willing and able to produce , is shown by supply curve.In this way, the price acts as a signal telling the producers what to produce and how much of the good to produce.

Thus determines the allocation of resources among various goods. If market is in disequilibrium, the market will adjust until equilibrium price and quantity achieved a satisfaction of both buyers and sellers maximised. For example, when Qd < Qs for rice, ceteris paribus, a shortage results. There will be upward pressure on the price and the price increase will signal an increase in profit which leads to a reallocation of resources into the production of that good.

For whom to produce?

Price mechanism also shows who to produce these resources for. This is shown by the demand curve which signifies consumers' willingness and ability to pay. In a way it represents their economic dollar votes and shows that producers should produce for these consumers.

Resources are scarce, no society can satisfy all the wants of its people.

How the limited supply of final goods/services produced is allocated among people?

Price acts as a mechanism in a market economy and distributes the output only to people who are able and willing to pay for the good.

This in turn depends on the purchasing power and the value that people place on the good. Consumers pay and consume goods to maximise consumer welfare while producer try to maximise profits. Using the DD/SS diagram above, the equilibrium output at Qe will be allocated to consumers who are willing and able to pay at least the equilibrium price which is set at Pe.

How to produce?

Prices of resources and factors of production also address the question of how to produce various goods and services. An economy can choose to produce using use various factors of production like labour (human) or capital (machines). Price of resources should guide firms' production methods and firms choose resources that are cheapest and incur the lowest opportunity cost.

In the factor market the producers demand for resources and the consumers are factor owners that supply the resources. The allocation of resources among the competing uses is based on the prices of the resources.

For example, a manufactured good can either be produced by capital intensive methods (where there is little use of labour and greater use of machines) which are more efficiency or labour intensive methods (where greater use is made of labour).

A firm's main aim is to reduce the cost of production as guided by relative prices of factors of production. In countries like China, where resources like LAND and LABOUR are abundant, they tend to be engaged in labor intensive production due to and it is easier to produce using such methods.

BASIC ECONOMIC PROBLEM OF SCARCITY

The basic economic problem of scarcity refers to the situation in which finite factor inputs are insufficient to produce goods and services to satisfy infinite human wants. It is incontrovertible and irrefutable that all societies face the basic problem of scarcity due to limited resources and unlimited wants. Scarcity makes it necessary for us to make the most of what we have. In trying to obtain the highest level of satisfaction from available resources, good or rational choices have to be made. The concept of choice applies to all decision-making units.

We are continually uncovering new wants and demands. Scarcity implies that not all of society's goals can be pursued simultaneously, as the many different kinds of resources (production factors) are available only in limited amounts. The various factors of production refer to the inputs used in the production of goods and services. They are divided into four broad categories: land, labour, capital and entrepreneurship. Labour refers to human effort-physical and mental-which is directed to the production of goods and services. Normally the labour force of a country consists of everyone of the working age (14-64), and this form of resource is largely dictated and governed by the demographic distribution within the country (or any other geographical entity), and is therefore restricted by dependency ratio. Land refers to all the productive resources supplied by nature, and various aspects of such a form of resource are limited and exhaustible. Capital is a man-made resource used in the production of goods and services, which includes machines, tools, and buildings. The production capacity of a country therefore, is dependent on the amount of capital the country possesses. Entrepreneurship is a human resource that is separate from labour. An entrepreneur is one that performs the functions of organizing and managing the factors of production, of innovating new products and ways of production and he takes the risks of being in business. Without entrepreneurship, virtually no business organisation can operate. However, such a form of human resource depends on amount of talented people capable of generating innovative ideas.

It is generally understood that the self-interested nature of economic agents compels them to make rational decisions and choices to maximise utility and welfare. The basic assumption of Economics is that all decision-making units make rational choices. Rational choices maximize the well-being of economic agents. Rational choices are made by different decision-making units to maximize different objectives. To obtain the highest level of satisfaction, a rational decision must be made. This decision has to be an optimal one. Assuming rational behaviour on the part of decision-making units, this optimal choice must be the one that chooses the most desirable alternative among the possibilities that the available resources permit. These decision-making units include household, firms and the government.

The figure above shows a PPC (production possibility curve). A production possibility curve is a graph that shows the maximum attainable combinations of output that can be produced in an economy within a specific period of time, when all the available resources are fully and efficiently employed, at a given state of technology.

The PPC is a economic framework that can be used to illustrate concepts of scarcity, choices and opportunity costs. All the points on the PPC represent productive efficient levels of production. Scarcity is illustrated, therefore, by the unattainable combinations outside the PPC as well as the fact that society has to choose between combinations of the two goods as resources cannot be used to produce all at the same time, and the combinations of goods (such as amount od capital and consumer goods in the case of the PPC above) the economy eventually chooses depends on its priorities). The downward (negative) sloping gradient of the PPC also illustrates the concept of opportunity cost. To choose to have more of one good means having to give up some of the other good, given that the limited resources have been fully and efficiently employed (increased output of one product in turn causes the out put of the other product to fall due to limited resources and scarcity)

Economic agents employ several analytical tools to make rational choices. They take into account the opportunity costs and often make decisions based on the marginalist principle. Every time a choice is made, an opportunity cost is incurred. Opportunity cost refers to the real cost in terms of the

next best alternative that has to be forgone, and it arises due to the fact that the resources available to meet the unlimited wants are limited so that not all of the wants can be fully satisfied. An economic agent, therefore, has to make a decision based on his current priorities and sacrifice the next best alternative.

Economics, as mentioned before, is about making rational/optimal choices. Economic choices are made at the margin. The margin is the edge or border where we must decide whether to take one more step or to produce one more unit of a particular good or whether to use one more unit of a particular resource. Rational decisions are made at the margin involve weighing up marginal costs and marginal benefits. Generally, economic agents are compelled to continue producing a particular type of good until the marginal cost is equals to the marginal benefit (ie the production of one additional unit would mean that the marginal costs would outweigh the benefits).

In conclusion, due to the fact that resources are high limited, all societies face the problem of scarcity and hence have to make decisions like a household does. A society has to decide what and how much to produce, how to produce and for whom to produce. Firstly, the society must decide what goods it is going to produce (and hence what not to produce). Such choices usually take the form of more of one thing and less of the other (i.e. it needs to choose the composition of total output. Secondly, most goods can be produced by a variety of methods, and a society must decide on the methods of production to be adopted. Thirdly, the total output needs to be distributed among members of the society, and the society therefore needs to consider how it can distribute its goods. Therefore, we can conclusively assert that the basic economic problem of scarcity compels economic agents to make rational decisions (such as choosing the composition of total output) to maximize total profit and to comply with their current priorities.

BASIC ECONOMIC PROBLEMS

An economy exists because of two basic facts: Firstly human wants for goods and services are unlimited; and secondly, productive resources with which to produce goods and services are scarce.

Wants being unlimited and our resources being limited, we cannot satisfy all out wants. That being so, an economy has to decide how to use its scarce resources to give the maximum possible satisfaction to the members of the society.

In doing so, an economy has to solve some basic problems called Central Problems of an economy, which are:

(i) WHAT to Produce.

(ii) HOW to Produce.

(iii) FOR WHOM to Produce.

Whatever the type of the economy or economic system, these problems have to be solved somehow. Whether it is a capitalist economy of the U.S.A. or a socialist economy of the U.S.S.R. or a mixed economy of India, every economy has to make decisions in regard to what, how and for whom to produce. These problems are basic and fundamental for all economies.

However, different economies may solve these problems differently. For instance, the socialist economy of Soviet Russia tackles these problems in a different way from that of capitalist America. We shall now explain each of the above three problems in some detail.

(i) WHAT to Produce:

The problem 'what to produce' can be divided into two related questions. First, which goods are to be produced and which not; and second, in what quantities those goods, which the economy has decided to produce, are to be produced. If productive resources were unlimited we could produce as many numbers of goods as we liked and, therefore, the question "What goods to be produced and what not" would not have arisen. But because resources are in fact scarce relative to human wants, an economy must choose among different alternative collections of goods and services that it should produce.

If the Society decides to produce particular goods in a larger quantity, it will have to withdraw resources from the production of some other goods. Further, an economy has to decide how much resources should be allocated for the production of consumer goods and how much for capital goods. In other words, an economy has to decide the respective quantities of consumer goods and capital goods to be produced.

The choice between consumer goods and capital goods involves the choice between the present and the future. If the society decides to produce more capital goods, some resources will have to be taken away from the production of consumer goods and. therefore, the production of consumer goods would have to be cut down. But greater amount of capital goods would make possible the production of larger quantities of consumer goods in the future. Thus, we see that some current consumption has to be sacrificed for the sake of more consumption in the future.

(ii) HOW to Produce:

The problem of ‘how to produce’ means which combination of resources is to be used for the production-of goods and which technology is to be made use of in production. Once the society has decided what goods and services are to be produced and in what quantities, it must then decide how these goods shall be produced. There are various alternative methods of producing a good and the economy has to choose among them.

For example, cloth can be produced either with automatic looms or with power looms or with handlooms. Fields can be irrigated (and hence wheat can be produced) by building small irrigation works like tube-wells and tanks or by building large canals and dams. Therefore, the economy has to decide whether cloth is to be produced by handlooms or power looms or automatic looms. Similarly, it has to decide if the irrigation has to be done by minor irrigation works or by major works. Obviously, it is a problem of the choice of production techniques.

Different methods or techniques of production would use different quantities of various resources. For instance, the production of cloth with handloom would make use of more labbur and less capital. Production by handloom is, therefore, called labour-intensive technique of production. Production of cloth with power loom or automatic loom would utilise less labour and more capital. Production with power looms is, therefore, called capital-intensive technique of producing cloth. Thus, the economy has to choose whether it wants to use for production labour-intensive methods or capital-intensive methods of production.

Obviously, the choice between different methods would depend on the factor-supply situation and the prices of the factors of production. The criterion, it is obvious, must be the cost of production- It is well known that the resources are scarce. But some resources are more scarce than others. It is in society’s interest that those methods of production are employed that make the greatest use of the relatively plentiful resources or, conversely, economies are much as possible on the relatively scarce resources.

(iii) For Whom to Produce:

Once the problems of ‘what’ and ‘how’ to produce are solved, the goods are then produced. Because the resources and the resulting output of goods are limited, the third basic economic decision, which must be taken, is ‘for whom to produce’. ‘For whom to produce’ means how the national product is to be distributed among the members of the society. In other words, for whom to produce means that should get how much of the total amount of goods and services produced in the economy.

Thus, the third problem is the problem of sharing of the national product. Distribution of the national product depends on the distribution of national income. Those people who have larger incomes would have larger capacity to “buy goods and hence will get greater share of goods and services.

Those, who have low incomes, would have less purchasing power to buy things. The more equal is the distribution of income, the more equal will be the distribution of the national product. But the question now arises: how is the national income to be distributed, that is, how is it to be determined as to who should get how much of the national income?

Should the people get equal incomes and hence equal shares from the national product, or whether the distribution of national income should be done on the basis of the Marxian principle ‘from each according to his ability, to each according to his needs’, or should the distribution of national income be in accordance with the contribution made to the total production, that is, should everybody get income exactly equal to what he produces?

The main difficulty in the question of distribution of national product or income is how to reconcile the equity and justice aspect of distribution with the incentive aspect. From the point of view of equity, distribution of national product or income on the basis of equality seems to be the best.

But the problem is that equality in the distribution of national product or income may adversely affect the incentive to produce more. If this incentive is destroyed or greatly diminished as a result of promoting equality, the total national output available for sharing may be so much smaller that the living standards of all may go, down.

DISCUSS THE ADVANTAGES AND DISADVANTAGES OF A FREE-MARKET ECONOMY:

Advantages:

Price Mechanism:

Through free market concepts such as price signal and opportunity cost, the free market supplies a method of pricing resources without government intervention. An example being if there is great demand for a resource and it is scarce price rises, and vice-versa.

Self-Adjustment (equilibrium):

Resources are basically allocated by the supply and demand relationship, if there is a demand for a resource then someone will look to make profit and provide a supply. However the market ultimately decides the price, and self-adjusts so unless there is a sudden change in supply or demand theoretically there will be no shortage or surplus.

Human Psychological Aspect:

Each person effectively looks after themselves; there is that necessity of personal gain to feel progress is being made to achieving happiness.

We have been brought up to believe that the way to gain is to obtain employment, therefore earning money, allowing us to express effective demand over wants and needs.

Competition:

The free market allows the creation of competition which suits the consumer; people like to have options this therefore creates space for producers to create better products cheaply aiming to achieve a greater hold over the market.

Disadvantages:

Speculation & Bubble:

The free market can allows certain resources to be over-valued on false pretences, factors such as insider information or industrial espionage can lead to price surge or crash. A superficial bubble can be produced, as a certain resource should crash but people are continually trying to keep it up.

Undervaluation of Needs:

Since there is a concentration on immediate gain and short term perspective through the free market, important services such as education and health tend to be undervalued by consumers. In a utopian free-market these services would be accurately priced, but this does not occur in reality.

Monopoly & Duopoly:

If a producer gains to great of a market share they begin to control prices themselves, which leads to the failing of the pricing mechanism and the supply/demand relationship. This is against the interest of the consumer, and misallocates resources. An example of a prominent duopoly situation is Airbus vs. Boeing.

DISCUSS THE ADVANTAGES AND DISADVANTAGES OF A COMMAND ECONOMY:

Advantages:

Planned & Greater Predictability:

In a command economy the government sets production and growth targets, there is an idea of the bigger picture on how the economy will perform in the future. This theoretically increases the economic stability, such as maintaining the value of a currency or given resource (less volatile, fluctuation a rare occurrence)

Elimination of Opportunity Cost:

Since the government allocates the resource the consumer does not question the practicality or use of a given resource, this usually takes the form of coupons. The consumer does not lose out the ability to consume another resource when a coupon is used as it only works for a certain resource.

Valuation of Services (education, health, etc.):

There is the organisation of a social health and education system, ensuring that everyone can attend school and receive an education as well as ensuring that people are medically taken care of. This stops people from thinking in the short term, and the government is allowed to independently decide the value of education (i.e. the creation of an education budget).

Reduction of Inequality:

The government decides on how the country's wealth is distributed, in theory this stops anyone from having more money than they "need". This allows people with service jobs to still have food, healthcare, and education. This achieves social justice as those with jobs such as janitors are valued workers.

Disadvantages:

Misallocation of Certain Resources:

The government will not always know how much to give or produce of a certain resource. For the government to effectively allocate resources in this situation it must have large amounts of information on the populace of the country. This also raises the question does a doctor deserve more or equal to someone of a lesser profession such as a cleaner.

Lacking Innovation (no choice or variety):

There is only ever the production of one type of product, as it becomes a national brand as if there could only be Marlboro Cigarettes and Colgate toothpaste. This means there is no competition which leads to a lack of innovation.

Shortages & Surplus

When the government misallocates resources, it may decide to change production of the resource. The problem with this aspect may lead to too little of the resource being produced or too much, this is because it is difficult to understand consumer demand.

Efficiency

The free-market handles itself, whereas the command economy requires people to regulate all aspects and control it. This means that the producers lack profit motive and see no reason to "work harder" but to simply meet the quota.

DISCUSS THE BENEFITS OF CHANGING FROM COMMAND ECONOMY TO MARKET ECONOMY

A country that changes its economy from a command/planned economy will see a lot of benefits when it adopts a market economy approach when solving the Economic Problem. A free market economy promotes the production and sale of goods and services, with little to no control or involvement from any central government agency. Instead of government-enforced price controls, as seen in many socialist and communist countries, a free market economy allows the relationships between product supply and consumer demand to dictate prices. With these benefits however there are drawbacks.

To start with, through price mechanism free market concepts such as price signal and opportunity cost, the free market supplies a method of pricing resources without government intervention. An example being if there is great demand for a resource and it is scarce price rises, and vice-versa.

In addition when resources are basically allocated by the supply and demand relationship, if there is a demand for a resource then someone will look to make profit and provide a supply. However the market ultimately decides the price, and self-adjusts so unless there is a sudden change in supply or demand theoretically there will be no shortage or surplus.

In a free market economy there is Human Psychological Aspect, each person effectively looks after themselves; there is that necessity of personal gain to feel progress is being made to achieving happiness. We have been brought up to believe that the way to gain is to obtain employment, therefore earning money, allowing us to express effective demand over wants and needs.

The free market allows the creation of competition which suits the consumer; people like to have options this therefore creates space for producers to create better products cheaply aiming to achieve a greater hold over the market.

The free-market handles itself, whereas the command economy requires people to regulate all aspects and control it. This means that the producers lack profit motive and see no reason to “work harder” but to simply meet the quota.

There is only ever the production of one type of product, as it becomes a national brand as if there could only be Marlboro Cigarettes and Colgate toothpaste. This means there is no competition which leads to a lack of innovation. All this supports the foregoing assertion that it is beneficial to change from a plannef economy to a market economy.

However it also need to be noted that lack of government control allows free market economies a wide range of freedoms, but these also come with some distinct drawbacks. These drawbacks show that at times it is of no benefit to change from command to market economy. The free market can allows certain resources to be over-valued on false pretences, factors such as insider information or industrial espionage can lead to price surge or crash. A superficial bubble can be produced, as a certain resource should crash but people are continually trying to keep it up.

In a command economy the government sets production and growth targets, there is an idea of the bigger picture on how the economy will perform in the future. This theoretically increases the economic stability, such as maintaining the value of a currency or given resource (less volatile, fluctuation a rare occurrence)

Since there is a concentration on immediate gain and short term perspective through the free market, important services such as education and health tend to be undervalued by consumers. In a utopian free-market these services would be accurately priced, but this does not occur in reality.

The government decides on how the country's wealth is distributed, in theory this stops anyone from having more money than they "need". This allows people with service jobs to still have food, healthcare, and education. This achieves social justice as those with jobs such as janitors are valued workers.

If a producer gains to great of a market share they begin to control prices themselves, which leads to the failing of the pricing mechanism and the supply/demand relationship. This is against the interest of the consumer, and misallocates.

In conclusion, it is to a large extent beneficial changing from command economy to market economy because of price mechanism, competition, equilibrium. The drawbacks are just minor and can be minimised with proper planning.

HOW RESOURCES ARE ALLOCATED

An economic system is the result of individuals (consumers and producers), groups (firms, trade unions, political parties, families etc) and the government coming together and interacting in a legal and social society. The function of an economic system is to resolve the basic economic problem – scarcity which means that the resources are limited but wants are infinite. This distribution has three dimensions:

* What is to be produced

* How is it to be produced

* For whom is it to be produced.

There are 2 economic systems which are commonly used world-wide. There are: the free market system in which the role for the government is limited and the planned system where the government takes viturally total control. In both of these systems there are different methods of resource allocation used. There are economies that use a mixture of these systems in particular the planned and free market system also known as the mixed economy in which some of the decisions resource allocation are done by the government and other by the public.

In a free market economy:

*The factors of production are owned by private individuals or groups of individuals who own the resources. They then rent them out to the firms so that they can produce the goods and services.

*Everyone is motivated by pure self interest. Consumers maximise welfare, firms maximise profits and privated individuals aim to maximise rents, wages interest and profit.

*Firms can sell anything they want. They respond to the consumers who are allowed to by anything that is sold by the producers.

*The level of competition is very high. Firms are competing desperately for customers and the consumers are competing with each other for the goods on offer

How are resources allocated under a market mechanism?

What is to be produced?

In a pure free market, it is the consumer which determines the allocation of resources. Consumers are sovereign. Each consumer has a free choice on the amount of money to spend on goods and services. Firms with the money received, buy the factors of production needed to produce goods and services. In other words in a free market a firm will only produce what the consumers are prepared to buy.

The consumers are the ones to dictate the goods that should be produced. For example the public decides that they want to buy more product X than product Y. The increase in demand for product X will increase the price at first. The production of product X will increase since many new first will get attracted with the idea of profit and at the same time the level of competition will increase. On the other hand for product Y the demand will fall along with profits. In general there is a transfer of resources from one industry to another.

How will it be produced?

There is competition between the various firms. Consumers will buy from the producers which offer the lowest price. So producers must produce at lowest cost. This then determines how goods are produced. The firms will adopt the lowest cost technique of production hence resulting in productive efficiency and allocative efficiency.

For whom will it be produced?

The amount of money the consumers spend is determined by their income. This affects the factors of production since those with high volumes will be able to consume more of the goods whilst those with low income can only buy few goods and services.

There are some advantages in a free market economy:

*Resources are allocated more efficiently.

*There will be a much larger choice of goods and services

*Firms will keep on innovating and produce better quality products since there is a high level of competition

*Higher economic growth rates – Economic systems with a free market model have grown much faster than those with a command economy.

For example with the restaurant Mac Donald's the demand is high because the consumers find it convenient to just drop by and have a meal within a matter of minutes, and since the consumers demand more the supply of it is also large.

A command economy has a very powerful government sector and the workers and consumers are subordinate. The resources are allocated through a planning mechanism. Some goods and services are provided free and some rationed or sold

The characteristics of a command economy:

* Factors of production are owned publicly by the government

* No one think of himself – Everyone is assumed to be working for the common good

* There are no free enterprise

* There is very little competition which gives rise to black markets

* Since there is no competition there is no price mechanism. The authorities set the prices, and they are forced to set the prices low to make sure that it is affordable to everyone

* The government has the responsibility of planning how all the resources should be used. The decide what should be produced and in what quantities. In other words they set the output and price levels.

What is to be produced?

The consumer does not have any control at all on what will be produced. The planners or the government decide what will be produced, but the main problem which arouses is that the government does not know what exactly the consumers need. In other words supply is dictated by a governing body which tries to predict demand however this process is very difficult and it leads to heavy losses.

How will it be produced?

There is no such thing as firms in a planned economy. The government direct the resources into producing “units” They have no autonomy, so basically the government decides the quantities of output and the methods of production

For whom will it be produced?

The government tries to distribute the output of the economy more fairly. Wages are determined by the planners and so are the prices of the goods produced. So the government is effectively determining how much each consumer can consume. They also believe that all consumers get equal amounts.

Advantages of a planned economy:

* The strong government will make sure that public and merit goods are consumed that the right levels and that demerit goods are banned or taxed heavily

* The government will try to make sure that nobody falls through the safety net. It will be a fairer economy even though it is likely to be less successful overall.

* Command economies can make sure that the production processes that they chose are as environmentally friendly as possible. They should be able to make sure that the level of output is the socially optimal level of output.

For example in Russia the government decided to produce jeans at a large scale but people were importing levis jeans and were selling them for a much cheaper price. this meant that the government lost a lot of money since they predicted that the people needed jeans but in reality they did not and even though they lowered the prices there were still huge amounts of stock which was not sold.

A mixed economy as the name implies is a mixture of a planned economy and a free enterpirse economy. In pure practice no pure planned economies or free enterprise economies exist in the world. It is a mixture of the two extremes and the degree of mixing depends and varies from one society or country to another.

Characteristics of a mixed economy:

* The government owns some of the country’s factors of production publicly and some are owned privately

* The market part of the economy will be motivated by self interest. First will maximise profit consumers will maximise their welfare and the factor owners will maximise rent interest and profit. The government on the other side has the common good goal.

* There are only free enterprises in the free market part of the economy

* The level of competition will vary on the degree of mix. and it will depnd on the market structure.

* The price mechanism operates in the private sector. its efficiency depends on how competitive the market structures are. The government run activities.

Many countries or economic systems have attempted to solve the resource allocation problem by reaching a compromise between the free market and planned economy systems. For example a governing body may decide that the production possibility frontier (ppf) has potential to increase if education and health services are provided to the public and thus enforces this, thus supplying it for free – this must be paid for by taxes which encourage a planned economy approach. However the remainder of the economy follows a free-market model

The government needs to decide the perfect balance between these two factors. If people are healthier then they are more educated and the more educated the healthier. This means that they firms will be able to have better qualified workers. This in turn will mean that the taxes will increase and the government will get more money. This money can be invested into improvements in technology and resulting in an increase in the ppf. For example the UK offers free NHS this means that more money can be spent on education and train people and this can lead to an improvement in technology. On the other hand the better the education means that people are better qualified and more people can become doctors and thus it will improve health services.

Though there are 3 main types of economic systems which sue three different methods of resource allocation, there is often, in developed countries a tendency to use mixed economic methods in which both aspects of the free market and the planned economy are present. In developing countries there are approaches to the problem of resource allocation using all 3 methods.

In a free market economy supply is dictated by demand, the bigger the demand the bigger the supply and thus the price of the product is given. In a planned economy the governing body makes those decisions, supply is dictated by a governing body which tries to predict demand however this proves very difficult and it supplies goods to its wish and in a mixed economy supply of certain guds is dictated by a governing body and the others by demand.

RESOURCES ALLOCATION UNDER FREE MARKET ECONOMIES IS MORE EFFICIENT THAN COMMAND ECONOMIES.

Nowadays, resource allocation in both command and free market economies is a widely discussed the basic economic essay. It ties in which means what is produced, how and for whom. The main advantages and disadvantages of recourse allocation in command and free market economies will be discussed in this essay.

To begin with, recources allocation in command economies is fairer than in free market but not necessarily efficient. Cuba, North Korea, China, Russia and Iran are current examples of economies that are closest to perfect command economies. An economy that is planned and controlled by a centre administration, as in the former Soviet Union is a perfect example of command economy.

Free market economies operate through the price mechanism. It is based upon transactions without government involvement. In the real word, transactions usually involve some government guidelines. An example of this would be buying a BigMac in the US or UK where a government controls certain health standards, imposition of a tax and as little input over competition as required by law. But in a free market economy, there would be no laws against creating a monopoly.

However, problems also related to command and free market economies. In command economies, there are three major problems. First, the government plans do not necessarily reflect the goals of the consumers--only their own. Second, recources are not used productively. Sometimes, command economies have been criticized because they tend to be badly organized, lack quality-control and possibly worker incentives, resulting in responsibility for severe environmental degradation. Third, lack of choice and poor allocation of recources.

EXPLAIN THE CONCEPT OF ELASTICITY OF DEMAND

There are generally three types of elasticity of demand, which are price, cross-price and income elasticity of demand. These three will be explained individually in order in the following paragraphs.

Price elasticity of demand is a measure of the responsiveness of change in quantity demanded of a good/service to a change in price, ceteris paribus. As the law of demand indicates, when the price of a good/service increases, the demand of it will decrease. Conversely, when the price of a product decreases, the demand of the product will increase. However, the extent to which a price change impacts the demand differs widely from produce to product. PED=(change in quantity demanded)/(change in price). If this value is bigger than one, the product is said to be price elastic (price sensitive), whereby a change in price will lead to a greater than proportionate change in quantity demanded. If the PED is smaller than one, the product will be price inelastic (price insensitive), where a percentage change in price will lead to a smaller percentage change in quantity demanded. And when PED=1, the product is unit elastic, where an X% change in price will result in an X% change in quantity demanded.

One of the factors that affect the PED is the substitutes and complementary product that a good/service has. And cross-price elasticity of demand measures the responsiveness of demand for good X following a change in the price of a related good Y.

For complementary goods, the two goods are in joint demand. That is, the relationship between the price of good Y and quantity demanded for good X will look like a normal demand curve. Goods in joint demand are closely related, and the stronger the relationship between two products, the higher cross-price elasticity of demand will be. A good example would be games and game consoles, as one cannot function without another. And as the price of one increase, the quantity demanded for the complementary good will decrease like any other normal goods due to joint demand, and vice versa. On the other hand, with substitute goods such as several competing brands of bread, an increase in the price of one good will lead to an increase in demand for the rival product, as consumers will likely switch to the cheaper product. And conversely a decrease in price of one good will lead to a decrease in demand for the rival product. However when consumers become regular purchasers of a product (effect of brand loyalty), the cross price elasticity of demand against rival products will decrease. This reduces the substitution effect that causes consumers to switch to another product when an increase in price occurs, which makes demand less sensitive to price. The result is that firms will potentially be able to charge a higher price, increase total revenue and achieve higher profits.

Lastly there's the income elasticity of demand. Another factor that can affect PED would be the price of a good relative to a proportion of one's disposable income; so as one's income changes, the price of the good in terms of a percentage of one's income will change, thus affecting quantity demanded. Income elasticity of demand measures the relationship between a change in quantity demanded for a good and a change in real income. The income elasticity is calculated by (% change in demand)/(% change in income). For normal goods, as consumers' income rises, the quantity demanded will rise. Necessities such as food will have a Income Elasticity of Demand smaller than 1 (whereby a change in income will bring about a less than proportionate change in quantity demanded) and luxury goods such as TV sets will have a Income Elasticty of Demand bigger than 1 (whereby a change in income will bring about a more than proportionate change in quantity demanded). However for inferior goods as consumers' income rises quantity demanded will decrease. Potential examples of inferior goods (this occurs only when there are superior goods available, and only if consumers can afford them) include the demand for low-price foods, cigarettes and alcohol.

DISCUSS WHY IT MAY BE IMPORTANT FOR A FIRM TO HAVE KNOWLEDGE OF PRICE ELASTICITY OF DEMAND:

The concept of PED generally help firms decide whether to raise or drop the price of their product in order to maximize revenue. For example, when the PED of a good is inelastic, it would be best to increase the price to maximize revenue; and when the PED is elastic, it'd be best to decrease the price to maximize revenue. However this is only a general idea, and simple PED does not take into account of the firm's costs, rivalry/substitute goods, etc

However, firms need to know their product's PED in order to alter prices; but how would they know a product's PED? That's when knowledge of PED is needed. Firms would first need to know some factors that may affect PED, and then use that information to evaluate the approxiamte PED of a product. For example, a firm can estimate PED for a product depending on the number of substitutes that exist in the market. The more substitutes in the market, the more elastic the demand for a product is, because consumers can more easily switch their demand if price of one particular product changes. Firms can also assume the PED of a product by having an idea about the degree of necessity of that particular good/service. Products such as food (bread, rice), or even habitual products such as cigarretes are necessities and tend to have an inelastic demand whereas luxury goods such as TVs will tend to have a much more elastic demand because consumers can make do without these luxuries when their budgets are limited. Lastly, the firm need to know how cheap their product in terms of a proportion of the consumer's income. Goods and services that take up a small proportion of a household's income will tend to have an inelastic demand, as a price% rise in that product will make almost no difference for consumers. For example if a newspaper's price increased from $1.00 to $1.10, very little people will fuss over this 10% (seemingly large percentage increase) increase in price because it is so insignificant compared to their income, and thus its demand is insentive to price change. So in short, producers need to have sufficient knowledge of PED to determine the PED of their product, which will in turn help them to set prices that can potentially maximize their revenue.

Furthermore, PED may help firms to set their policy on price discrimination. The firms will most likely be monopoly suppliers, and may decides to charge different prices for the same product to different segments of the market. Examples of this can be increase in price for peak-hour public transportation, more charge for hotel rooms during public holidays, because the products/services during those time periods have an inelastic demand; or vice versa, firms may decrease the price when the product/service is price elastic, such as unsold plane tickets the week before flight, or out-of-season clothes that won't sell in a clothing store. This concept can actually also be linked back to basic knowledge of the PED, because the time period at which the product is sold is also a factor that can determine the PED of a product.

More specifically, concept and knowledge of PED can be applied in some tricky situations: for example, when government imposes indirect taxes on certain products that one firm produces. In this situation, knowing how price elastic the demand of the product is will help the firm to decided whether it is able to pass on the tax (or some of it) onto the consumers. If it's goods like cigarretes which has an inelastic PED due to its habitual nature, it's likely that firms may decide to pass the tax onto consumers as it will result in only a small decrease in quantity demanded. On the other hand, if it's a luxury good such as cars, the firm may decide to not pass any of the tax onto consumers due to the product's elastic demand, because an increase in price can potentially decrease total revenue for a price elastic good, as shown in diagram before.

In conclusion, knowledge of PED is very important because firms need it in order to determine the PED of products, which then in turn help them to estimate and predict the effect of a change in price on the total revenue.

WHAT IS THE IMPORTANCE OF ELASTICITY OF DEMAND?

In the Determination of Output Level:

For making production profitable, it is essential that the quantity of goods and services should be produced corresponding to the demand for that product. Since the changes in demand is due to the change in price, the knowledge of elasticity of demand is necessary for determining the output level.

In the Determination of Price:

The elasticity of demand for a product is the basis of its price determination. The ratio in which the demand for a product will fall with the rise in its price and vice versa can be known with the knowledge of elasticity of demand.

If the demand for a product is inelastic, the producer can charge high price for it, whereas for an elastic demand product he will charge low price. Thus, the knowledge of elasticity of demand is essential for management in order to earn maximum profit.

In Price Discrimination by Monopolist:

Under monopoly discrimination the problem of pricing the same commodity in two different markets also depends on the elasticity of demand in each market. In the market with elastic demand for his commodity, the discriminating monopolist fixes a low price and in the market with less elastic demand, he charges a high price.

In Price Determination of Factors of Production:

The concept of elasticity for demand is of great importance for determining prices of various factors of production. Factors of production are paid according to their elasticity of demand. In other words, if the demand of a factor is inelastic, its price will be high and if it is elastic, its price will be low.

In Demand Forecasting:

The elasticity of demand is the basis of demand forecasting. The knowledge of income elasticity is essential for demand forecasting of producible goods in future. Long- term production planning and management depend more on the income elasticity because management can know the effect of changing income levels on the demand for his product.

In Dumping:

A firm enters foreign markets for dumping his product on the basis of elasticity of demand to face foreign competition.

In the Determination of Prices of Joint Products:

The concept of the elasticity of demand is of much use in the pricing of joint products, like wool and mutton, wheat and straw, cotton and cotton seeds, etc. In such cases, separate cost of production of each product is not known.

Therefore, the price of each is fixed on the basis of its elasticity of demand. That is why products like wool, wheat and cotton having an inelastic demand are priced very high as compared to their byproducts like mutton, straw and cotton seeds which have an elastic demand.

In the Determination of Government Policies:

The knowledge of elasticity of demand is also helpful for the government in determining its policies. Before imposing statutory price control on a product, the government must consider the elasticity of demand for that product.

The government decision to declare public utilities those industries whose products have inelastic demand and are in danger of being controlled by monopolist interests depends upon the elasticity of demand for their products.

Helpful in Adopting the Policy of Protection:

The government considers the elasticity of demand of the products of those industries which apply for the grant of a subsidy or protection. Subsidy or protection is given to only those industries whose products have an elastic demand. As a consequence, they are unable to face foreign competition unless their prices are lowered through subsidy or by raising the prices of imported goods by imposing heavy duties on them.

In the Determination of Gains from International Trade:

The gains from international trade depend, among others, on the elasticity of demand. A country will gain from international trade if it exports goods with less elasticity of demand and import those goods for which its demand is elastic.

In the first case, it will be in a position to charge a high price for its products and in the latter case it will be paying less for the goods obtained from the other country. Thus, it gains both ways and shall be able to increase the volume of its exports and imports.

SURVIVAL OF SMALL SCALE FIRMS:

Small scale production firms has the actual survival value side by side with large scale production. The facts are that small scale firms have a firm footing along with the large scale firms. The reasons are that small scale firms concerns enjoy certain advantages which are peculiar to their own. They are following:

Reasons for Survival of Small Scale Firms:

(i) Close supervision. When production is being carried on a small scale, the producer can easily supervise each part of the work. The raw material is fully utilized by avoiding the waste. As the workers are closely supervised they work efficiently. The machines are carefully handled. All this results in lowering of cost production.

(ii) Economic independence. In a small firm, the producer is generally the sole proprietor himself. When he clearly knows that the whole profit will go to him and not to anybody else, he works untiringly.

(iii) Economy in management. A large firm has to spend a sizeable portion of the income on maintaining administrative machinery but that is not the case with the small firm. In a small firm, the proprietor himself is the manager. He does not need superfluous account keeping. He just writes the income and expenditure of his business on a small notebook and keeps that with himself.

(iv) Close contact with customers. As the, workers employed in a small firm are few in number, the employer can have a close contact with them. He can listen to their grievances personally and can redress them if he thinks them justified. Due to better understanding between the and the employees, the chances of industrial disputes are reduced.

(v) Greater adaptability to Changes. Another advantage claimed by a small firm is that it can easily adjust its supply to the changed conditions in demand. As the small firm has not to consult the various share-holders of the business, so it can easily arrive at quick decisions and these decisions can be promptly executed.

Small Scale Firms VS Large Scale Firms:

In addition to the advantages discussed above, there are some special circumstances where small scale production is most suitable and economical than large scale production :

Advantages of Small Scale Production Firms:

(i) When the demand for a commodity is small and is expected to remain as such for many years to come, then the production will not be carried out on a large scale. Similarly, if the demand is of a fluctuating nature, the goods are produced on small scale and not on large scale.

(ii) Production is also carried on small scale where the scope of division of labor is limited. For example, in tailoring, repairing agricultural concerns, the division of labor cannot be introduced on a large scale. In tailoring, the clothes are prepared according to the individual tastes of the customers. So, is also the case in repairing. In agricultural work cannot be divided into processes and sub-processes. So, it is generally organized on a small scale.

(iii) Small scale production is also able to hold its own in that field where production is carried on according to the individual tastes. For instance, in jewellery, embroidery works and in other autistics wares, the demand is met locally and the work is done strictly according to the wishes of the customers customers.

(iv) The goods are also produced on small scale where it is not possible to standardize them.

ADVANTAGES AND DISADVANTAGES OF LARGE COMPANIES

Large companies have quite a few advantages over smaller companies, but smaller companies have a corresponding set of advantages over large companies.

ADVANTAGES OF LARGE COMPANIES:

Economies of scale - Large companies have economies of scale in many areas of the business including obtaining capital, production, and leverage of their R&D efforts. This of course reduces the cost of doing business and makes the ROI on certain projects more attractive. Spreading out development costs over more units reduces the overall cost of each piece. These economies of scale often allow for the large companies to do things like investing in training or medical facilities, have good legal counsel, invest in intellectual property protection, or pay above-market wages, which a smaller company wouldn't be able to do.

Political clout - Large companies often have enough money to devote to political campaigns to tilt laws and regulations in their favor. Also since a large company may be a significant employer in a town they might have an incredibly large influence over the decisions made - for example when US Airways threatened to pull its hub out of Pittsburgh International Airport if it didn't receive the concessions it wanted (and it didn't get those concessions - so it pulled out).

Specialization of roles - Having many thousands of employees allows large companies to not only treat their employees as "cogs in the machine," reducing their reliance on any one individual, but also allows it to hire people who are experts in each area instead of the generalist "jack-of-all-trades" types who are more necessary in smaller businesses.

Set policies and procedures - By the time a company gets large there are plenty of rules and procedures in place to ensure coordination, consistency, and to eliminate confusion. Many smaller companies have a "seat-of-the-pants" feeling to them.

More opportunities for advancement - Employees are often attracted to large companies because of opportunities to "climb the corporate ladder" because their jobs can grow in responsibility (and pay) over their career. In addition to that there are opportunities in many different areas of the company so that employees can keep learning new things and won't get bored.

More diversified revenue streams/risk profile - While a smaller company may only be able to concentrate on one or two products, a larger company might have thousands of products in different areas, especially if it is a conglomerate. A larger company might also sell to a larger market (worldwide vs. regional). This diversity can protect the company from variability that might significantly harm a smaller company.

Perceived employment stability and/or prestige - Many people don't want to work for a "fly-by-night" small company that may or may not be around in a few years. Large companies are often perceived to be more stable sources of employment as many people have spent their entire careers (or significant portions of them) at a large company. The name recognition can also be important to some people - to be able to say "I work at X," which makes them feel like a part of something important, as opposed to working for a small company that nobody has ever heard of before.

Specialized capabilities/knowledge that are barriers to entry - Any company that got large and is doing many different things has the specialized knowledge necessary to keep their operations running. Developing this know-how from scratch could be prohibitively expensive and often prevents smaller companies from entering or competing in the same areas.

Branding and history - Any company that got to be large didn't get that way overnight. Therefore the company has a history and likely a brand that is fairly well-known, which can make marketing easier (or more difficult, depending on how tarnished the brand is).

DISADVANTAGES OF LARGE COMPANIES:

Bureaucracy - With all the policies and procedures in place it's often tough to do things that should be simple, which reduces productivity, and it can be tough to change the way things are done, which makes the company inflexible.

Lawsuit magnets - It's much more attractive to sue a company that has money to pay a judgment than a company that has no money. Large companies are cognizant of this risk and it often constrains their actions.

Market saturation - It's much tougher for a large company to grow than a small one, especially if the major markets it serves are nearly saturated.

Individual employee disconnection from success - Since individual employee contribution matters so little in a large company (the company will continue on with or without you) it is possible for many employees to coast along and add little or no actual value to the company, or attempt to personally benefit from the company as much as possible by focusing more on self-promotion and avoiding work than actually accomplishing things that help the company.

Lack of clear vision/direction - In a small company it can be very easy to figure out what the goal is, and everyone might be working toward it - and it might be something like "Develop X." In a large company there are often many competing goals and not necessarily any one thing that anyone is working toward, except "staying the course." This can lead to lack of employee motivation.

Risk aversion - Many large companies and people in large companies are risk averse because they're afraid of losing what they have (market share, employment, profits) and thus are poor at innovation or innovate only incrementally. Too much of a focus on current products can leave them wide open to disruptive innovation from competitors.

Mediocrity - While small companies and startups often try to hire the absolute best people they can, which might be feasible if you have a company of 10 people, if you have a company of 10,000 people they're not all going to be geniuses. Large companies design their job descriptions so that employees are replaceable cogs in the machine and as such often strive to hire people that are competent but not necessarily excellent because there just physically aren't enough excellent people available and the excellent people often leave for opportunities where they can use their talents more effectively instead of being constrained by the environment of a large company.

UNEMPLOYMENT

Unemployment as defined by the International Labour Organization occurs when people are without jobs and they have actively looked for work within the past four weeks. The unemployment rate is a measure of the prevalence of unemployment and it is calculated as a percentage by dividing the number of unemployed individuals by all individuals currently in the labour force

2. Types of Unemployment:

i. Frictional Unemployment:

Frictional unemployment is a temporary condition. This unemployment occurs when an individual is out of his current job and looking for another job. The time period of shifting between two jobs is known as frictional unemployment. The probability of getting a job is high in a developed economy and this lowers the probability of frictional unemployment. There are employment insurance programs to tide over frictional unemployment

ii. Structural Unemployment:

Structural unemployment occurs due to the structural changes within an economy. This type of unemployment occurs when there is a mismatch of skilled workers in the labour market. Some of the causes of the structural unemployment are geographical immobility (difficulty in moving to a new work location), occupational immobility (difficulty in learning a new skill) and technological change (introduction of new techniques and technologies that need less labour force). Structural unemployment depends on the growth rate of an economy and also on the structure of an industry.

iii. Classical Unemployment:

Classical unemployment is also known as the real wage unemployment or disequilibrium unemployment. This type of unemployment occurs when trade unions and labour organization bargain for higher wages, which leads to fall in the demand for labour.

iv. Cyclical Unemployment:

Cyclic unemployment when there is a recession. When there is a downturn in an economy, the aggregate demand for goods and services decreases and demand for labour decreases. At the time of recession, unskilled and surplus labours become unemployed. Read about causes of economic recession.

v. Seasonal Unemployment:

A type of unemployment that occurs due to the seasonal nature of the job is known as seasonal unemployment. The industries that are affected by seasonal unemployment are hospitality and tourism industries and also the fruit picking and catering industries

3. Causes of Unemployment:

i. Rapid changes in technology

ii. Recessions

iii. Inflation

iv. Disability

v. Undulating business cycles

vi. Changes in tastes as well as alterations in the climatic conditions. This may in turn lead to decline in demand for certain services as well as products.

vii. Attitude towards employers

viii. Willingness to work

ix. Perception of employees

x. Employee values

xi. Discriminating factors in the place of work (may include discrimination on the basis of age, class, ethnicity, color and race).

xii. Ability to look for employment

Broadly speaking the above factors may be categorized into the following:

4. Effect of Unemployment:

Unemployed individuals are unable to earn money to meet financial obligations. Failure to pay mortgage payments or to pay rent may lead to homelessness through foreclosure or eviction.

i. Unemployment increases susceptibility to malnutrition, illness, mental stress, and loss of self-esteem, leading to depression.

ii. Great Depression

iii. Another cost for the unemployed is that the combination of unemployment, lack of financial resources, and social responsibilities may push unemployed workers to take jobs that do not fit their skills or allow them to use their talents. Unemployment can cause underemployment, and fear of job loss can spur psychological anxiety.

COMPARATIVE ADVANTAGE

Comparative advantage is when a country produces a good or service for a lower opportunity cost than other countries. Opportunity cost measures a tradeoff. A country with a comparative advantage isn’t necessarily the best at producing something. The advantages of buying their good or service just outweigh the disadvantages. That means the good or service has a low opportunity cost for other countries to import.

For example, oil-producing nations have a comparative advantage in chemicals. That's because the oil provides a cheap source of material for the chemicals when compared to countries without it.

As a result, Saudi Arabia, Kuwait and Mexico compete well with U.S. chemical production firms. Their opportunity cost is low. That makes their chemicals less expensive. That's because a lot of the raw ingredients are produced in the oil distillery process. (Source: " Robust Growth and the Strong Dollar Set Pattern for Import and Export Prices," Bureau of Labor Statistics.)

Another example is India's call centers. U.S. companies buy this service because it is cheaper than locating the call center in America. Indian call centers aren't better than U.S. call centers. Their workers don't always speak English very clearly. But they can do it cheap enough to make the tradeoff worth it. (Source: " Comparative Advantage," Library of Economics and Liberty.)

In the past, comparative advantages occurred more in goods and rarely in services. That's because goods are easier to export. But telecommunication technology like the internet is making services easier to export. That includes call centers, banking and entertainment.

Comparative advantage is what you do best while also giving up the least. For example, if you’re a great plumber and a great babysitter, your comparative advantage is plumbing. That's because you’ll make more money as a plumber. You can hire an hour of babysitting services for less than you would make doing an hour of plumbing. Your opportunity cost of babysitting is high. Every hour you spend babysitting is an hour’s worth of lost revenue you could have gotten on a plumbing job.

Theory of Comparative Advantage

Eighteenth-century economist David Ricardo created the theory of comparative advantage. He argued that a country boosts its economic growth the most by focusing on the industry in which it has the largest comparative advantage.

For example, England was able to manufacture cheap cloth. Portugal had the right conditions to make cheap wine. Ricardo predicted that England would stop making wine and Portugal stop making cloth. He was right. England made more money by trading its cloth for Portugal's wine, and vice versa. It would have cost England a lot to make all the wine it needed because it lacked the climate. Portugal didn't have the manufacturing ability to make cheap cloth.

Therefore, they both benefited by trading what they produced the most efficiently.

This theory of comparative advantage became the rationale for free trade agreements. Ricardo developed his theory to combat trade restrictions on imported wheat in England. He argued that it made no sense to restrict low-cost and high-quality wheat from countries with the right climate and soil conditions. England would receive more value by exporting products that required skilled labor and machinery. It could receive more wheat in trade than it could grow on its own.

The theory of comparative advantage explains why trade protectionism doesn't work in the long run. Political leaders are always under pressure from their local constituents to protect jobs from international competition by raising tariffs. But that’s only a temporary fix.

In the long run, it hurts the nation's competitiveness. It allows the country to waste resources on unsuccessful industries. It also forces consumers to pay higher prices to buy domestic goods.

David Ricardo started out as a successful stockbroker, making $100 million in today's dollars. After reading Adam Smith’s The Wealth of Nations , he became an economist. He was the first person to point out that significant increases in the money supply create inflation. This theory is known as monetarism.

He also developed the law of diminishing marginal returns. That’s one of the most important concepts in microeconomics. It states that there is a point in production where increased output is no longer worth the additional input in raw materials. (Source: "David Ricardo," EconLib.)

Example

America's comparative advantage is its large land mass, bordered by two oceans. It also has lots of fresh water, arable land and available oil. It has a diverse population with a common language and national laws. For more, see The Power of the U.S. Economy.

All of this gives U.S. businesses cheap natural resources and protection from land invasion. Most important, the diverse population provides a large test market for new products. That's helped the United States became a global leader in banking, aerospace, defense equipment and technology. For more, see The Four Major Things the United States Is Good at Producing and How Silicon Valley ls America ' s Innovative Advantage.

Comparative Advantage vs. Absolute Advantage

Absolute advantage is anything a country does more efficiently than other countries. Countries that are blessed with an abundance of farmland, fresh water and oil reserves have an absolute advantage in agriculture, gasoline and petrochemicals.

Just because a country has an absolute advantage in an industry doesn't mean that it will be its comparative advantage. That depends on what the trading opportunity costs are. Say its neighbor has no oil but lots of farmland and fresh water. The neighbor is willing to trade a lot of food in exchange for oil. Now the first country has a comparative advantage in oil. It can get more food from its neighbor by trading it for oil than it could produce on its own. (Sources: "Absolute Advantage," FT.com Lexicon. " Comparative Advantage and Absolute Advantage," Shmoop.com. " Absolute Advantage in Trade," Study.com.

What It Means to You: Absolute advantage is anything you do more efficiently than anyone else. You're better than everyone else in the neighborhood at both plumbing and babysitting. But plumbing is your comparative advantage. That's because you only give up low-cost babysitting jobs to pursue your well-paid plumbing career.

Comparative Advantage vs. Competitive Advantage

Competitive advantage is what a country, business or individual does that provides a better value to consumers than its competitors. There are three strategies companies use to gain a competitive advantage. First, they could be the low-cost provider. Second, they could offer a better product or service. Third, they could focus on one type of customer. (Source:"Free Trade and Protection: Why Do Nations Trade?" HSC Online.)

What It Means to You: Competitive advantage is what makes you more attractive to consumers than your competitors. For example, you are in demand to provide both plumbing and a babysitting services. But it's not necessarily because you do them better (absolute advantage). It's because you charge less.

NATIONAL INCOME: CONCEPT AND MEASUREMENT

In common parlance, national income means the total value of goods and services produced annually in a country. In other words, the total amount of income accruing to a country from economic activities in a year's time is known as national income. It includes payments made to all resources in the form of wages, interest rent and profits.

Concepts of National Income:

There are a number of concepts pertaining to national income. They are:

1. Gross National Income (GNP)

2. Net National Income (NNP)

3. Gross Domestic Product (GDP)

4. Personal Income

5. Disposable Personal Income

6. per Capita Income

1. Gross National Income:

GNP is the total measure of the flow of goods and services at market value resulting from current production during a year in a country, including net income from abroad, GNP includes four types of final goods and services: (1) Consumer's goods and services to satisfy the immediate wants of the people. (2) Gross Private Domestic Investment in capital goods consisting of fixed capital formation, residential construction and inventories of finished and unfinished goods.(3) goods and services produced by the government and (4) net exports of goods and services that is, the difference between value of exports and imports of goods and services, known as net income from abroad.

In this concept of GNP there are certain factors that have to be taken into consideration.

First,GNP is the measure of money, in which all kinds of goods and services produced in a country during one year are measured in terms of money at current prices and then added together.

Second,in estimating GNP of the economy, the market price of only the final products should be taken into account.

Third,goods and services rendered free of charge are not included in GNP, because, it is not possible to have a correct estimate of their market prices.

Fourth,the transactions which do not arise from the produce of current year or which do not contribute in any way to production are not included in GNP

Fifth,the profits earned or losses incurred on account of changes in capital assets as a result of fluctuations in market prices are not included in the GNP if they are not responsible for current production or economic activity.

Lastly, the income earned through illegal activities is not included in GNP.

GNP is the most frequently used national income concept. It is a better index than any other concept because it expresses the actual condition of production and employment in a country during a specific period. It provides a general idea of the performance of the economy.

2. Net National Income (NNP):

GNP includes the value of total output of consumption and investment goods. But the process of production uses up a certain amount of fixed capital. Some fixed equipment wears out, its other components are damaged or destroyed and still others are rendered obsolete through technological changes. All this process is termed as depreciation or**capital consumption allowance.** In order to arrive at NNP, we deduct depreciation from GNP. The word 'net' refers to the exclusion of that part of total output which represents depreciation**. So , NNP = GNP- Depreciation.**

3, Gross Domestic Product:

Income generated by the factors of production within the county from its own resources is called domestic income or domestic product. Gross domestic product includes:

1. Wages and salaries

2. Rents, including imputed house rents

3. Interest

4. Dividends

5. Undistributed corporate profits including surpluses of public sector undertakings

6. Mixed incomes consisting of profits of unincorporated firms, self-employed persons, partnerships etc.

and

7. Direct taxes

Since gross domestic product or income does not include income earned from abroad, it can also be shown as:

Domestic Income = National Income – Net Income from Abroad

Thus the difference between domestic income and national income is the net income earned from abroad may be positive or negative. If exports exceed imports, net income from abroad is positive. In this case national income is greater than domestic income. On the other hand, when inputs exceed exports, net income earned from abroad is negative and domestic income is greater than national income.

4. Personal Income:

Personal income is the total income received by the individuals of a country from all sources before direct taxes in one year. The entire national income will not be available for consumption. National income is different from personal income. In order to arrive at personal income several deductions are to be made. For example, corporations have to pay income-tax from the corporate profits before declaring dividends. Likewise a part of the corporate profits available for distribution is reduced. Similarly salaried persons and wage earners pay a certain percentage of their income towards social security contribution. To that extent income available to the employees and workers is reduced. Against this, the government may give social security benefits such as unemployment allowances, old age pensions etc. These payments are called transfer payments are called transfer payments. These are to be added to arrive at personal income. Therefore.

Personal Income = National Income – Corporate income taxes – undistributed corporate profits-social security contributions + transfer payments.

The concept of personal income is a useful concept. It helps in estimating the potential purchasing power of the households in an economy. The weakness of this concept is that it does not clearly tell us the actual amount of money available for disposable personal income.

5. Disposable personal income:

Disposable income or personal disposable income means the actual income which can be spent on consumption by individuals and families. The whole of the personal income cannot be spent on consumption, because it is the income that accrues before direct taxes have actually been paid. Therefore, in order to obtain the disposable income, direct taxes are deducted from personal income. Thus:

Disposable income = personal income – direct taxes

But the whole of the disposable income is not spent on consumption and a spent on consumption and a part of it is saved. Thus,

Disposable income = consumption expenditure + savings expenditure.

6. Per capita income:

The average income of the people of a country in a particular year is called per capita income for that year. This concept also refers to the measurement of income at current prices and at constant prices. For instance, in order to find out the per capita income at current prices, the national income of a country is divided by the population of the country in that year.

Per capita Income = National income÷ population

This concept enables us to know the average income and the standard of living of the people. But it is not very reliable, because in every country due to unequal distribution of national income a mojor portion of it goes to the richer sections of the society and thus income received by the common man is lower than the per capita income.

Methods of measuring National income:

In preparing the national income estimate it is necessary to add the values of all final goods and services produced and exchanged during a year. Thus whatever is produced is either used for consumption or saving. There are three methods of estimating national income. They are:

1. The census of products method

2. The census of income method

3. The expenditure method

Difficulties in the measurement of national income:

There are a number of difficulties in the measurement of national income of a country. The following are the important difficulties of national income analysis:

1. National income is always measured in terms of money, but, there are certain goods and services whose money measurement is not possible. For example: the services performed by housewife for her family, voluntary services performed with a charitable object, etc. such items are excluded from the national income figures. This leads to an underestimate of the national income.

2. Income obtained from illegal activities is not included in the national income and their exclusion results in an under-valuation of the national income.

3. It is difficult, to obtain accurate statistics. This is the reason, why there is big differences between the national income statistics collected by the different institutions.

4. The collection of depreciation on capital consumption, presents another formidable difficulty. There are no accepted standard rates of depreciation applicable the various categories of capital goods. Thus, the national income estimate will not be correct.

5. The difficulty of avoiding double counting in the national income. To avoid this difficulty, final goods and services are to be included in the national income, but it is not an easy task.

6. The difficulty of price changes arises in the national income estimate. When the general price index increases, the national income will also increase, even if the national output is reduced. Similarly, if general price index decreases, the national income will also decrease, although, there may be an increase in national output. Therefore, due to price changes, we may not find an accurate estimate of national income.

7. The prevalence of non-monetized transactions in underdeveloped countries creates an important problem in the measurement of national income. A considerable part of the output does not come into the market at all. In agriculture, a major part of output is consumed by the farmer themselves which reduces the national income figure to a great extent.

8. Due to illiteracy, most of the producers in less developed countries have no idea of the quantity and value of their output and do not keep regular accounts, which, creates difficulties in national income measurement.

Importance of national income analysis

Today, national income statistics are collected by all the countries of the world for a number of years. Raising national income is the important goal of all economic activity. Economic welfare of a country depends upon what goods and services are available for the consumption of its individuals. The changes in national income statistics show how the economy is developing and enables the government to lay down the appropriate economic policy necessary under the circumstances. With the help of national income statistics it is possible to chart cyclical movements, find out the inflationary gap, measure economic growth and development, and evaluate the country's material standard of living in comparison with other countries. The following are the main uses of national income.

1. Since income is a flow of wealth changes in the national income give some indication of economic welfare.

2. National income is used to compare standards of living in different countries.

3. National income figures are used to measure the rate of growth of a country.

4. The national income accounts make it possible for an analysis of the behaviour of the different sectors of the economy.

5. Inflationary and deflationary pressures can be estimated with the help of national income statistics.

6 National income statistics can be used to forecast the level of business activity at later date, and to find out trends in other annual data.

7. The national income figures are useful in providing a correct sense of proportion about the structure of the economy.

8. In war time, the study of components of national income is of great importance because they show the maximum possible production possibilities of the country.

9. National income statistics can be used to determine how an international financial burden should be an apportioned between different countries. The quantum of national income measures the ability of a country to pay contributions for international purposes, just as the income of a person measures his ability to pay for the upkeep of his country.

10. Above all the national income statistics are used for planned economic development of a country. In the absence of such data, planning will not be possible.

In the words of Prof. Samuelson," By means of statistics of national income, we can chart the movements of a country from depression to prosperity, its steady long-term rate of growth and development, and finally, its material standard of living in comparison with other nations."

ECONOMIC GROWTH

Economic growth is how much more the economy produces than it did before. If the economy is producing more, businesses are more profitable, and stock prices rise. That gives companies capital to invest and hire more employees. As more jobs are created, incomes rise. Consumers have more money to buy additional products and services, driving higher economic growth. For this reason, all countries want positive economic growth.

That makes economic growth the most watched economic indicator.

How Is Economic Growth Measured?

Economic growth is measured by changes in the gross domestic product (GDP). It measures a country's entire economic output for the past year. That takes into account all goods and services that are produced in this country for sale, whether they are sold domestically or sold overseas. It only measures final production, so that the parts manufactured to make a product are not counted. Exports are counted because they are produced in this country. Imports are subtracted from economic growth. Economic growth is measured quarterly measured using real GDP to compensate for the effects of inflation. Here's more on the GDP growth rate and how you can calculate it.

Measurements of economic growth do not include unpaid services. They include the care of one's children, unpaid volunteer work, or illegal black-market activities.

They also don't include the environmental costs. For example, the price of plastic is cheap because it doesn't include the cost of disposal. As a result, GDP doesn't measure how these costs impact the well-being of society. The true standard of living will be raised when these components are measured.

Only when something is measured does it become important.

That's how the measurement itself can lower growth. For example, Nordic countries rank high in the World Economic Forum's Global Competitiveness Report. According to Riane Eisler's book, The Real Wealth of Nations , that's because their fiscal budget focuses on the actual drivers of economic growth: world-class education, social programs that provide real value, and a high standard of living. That results in a high-skilled and motivated workforce. Yes, these countries have a high tax rate. But, they use the revenues to invest in long-term economic growth.

That contrasts with the United States. It uses debt to finance short-term growth through boosting consumer and military spending. That's because these activities do show up in economic growth measurements.

Ways to Spur Economic Growth

Most governments try to manage economic growth. For one thing, when the economy is growing, businesses make more money, which increases

tax revenue. They also hire more people, which increases income. When people feel prosperous, they reward political leaders by re-electing them.

The government can stimulate the economy through expansive fiscal policy. That's when it either spends more, cuts taxes, or both. Since politicians want to get re-elected, they use expansive fiscal policy to stimulate the economy.

Expansive fiscal policy is addictive. If the government keeps spending more and taxing less to spur economic growth, it leads to deficit spending. It works for a while, but eventually leads to higher debt levels.

In time, as the debt to GDP ratio approaches 100%, it can slow economic growth. Foreign investors may stop investing funds in a country with a high debt ratio. They worry they won't get repaid, or that the money will be worth less.

Therefore, governments should be careful with expansive fiscal policy. It should only use it when the economy is in contraction or recession. When the economy is growing, its leaders should cut back spending and raise taxes. This conservative fiscal policy will ensure that the economic growth will remain healthy.

The Advantages Of Economic Growth Economics

Economic growth can be defined as a process for indicating the increase or decrease in per capita GDP. There are a lot of other factors such as increasing in aggregate income of the individuals reflect economic growth. Economic growth is usually calculated as the rate of GDP changes in a particular period. The total of goods and services produced considered as a reflection for economic growth in the country. It can either be negative or positive in depend on the decrease or increase compared to data of previous years. Negative growth is often indicated to economic recession. When the GDP of a country increases means there is a economic growth existed in the country or the global economies

Advantages of Economic Growth.

Standard of living of the people will increase

Economy growth is an important point to bring better living standards and lower rates of poverty. The average income of people can said that increases and indirectly people able to consume more and motivate the economic growth increasing.

Rising Employment

Economic growth stimulates employment. The economic growth produces more vacancies for job and bring better standard of living to them.

Increased capital investment.

Economic growth can used to increasing the capital investment.

Benefit to Government

Economic growth brings advanced tax incomes for the government, Because of this, the government spends less unemployment benefits.

Superior public services.

Due to government got government income as economy growth, it can spend more on public services like education for contributing in superior public services.

Enhanced business confidence

Economic growth creates positive effect as encourage people running their businesses. As profits of small firms and business increase with economic growth, their business confidence and will to grow up to meet more challenges.

Disadvantages of Economic Growth.

inflation

Potential High and rising inflation will occur due to demand grows faster than long run productive. It may destabilizing for an economy as interest rate may increase and can cause a loss of competitiveness in international markets

Regional disparities

Although average living standards may be rising, there is a gap between rich and poor. It can widen the issues of poverty and make a wide gap between different regions.

Pollution

Economic growth never separated from environmental issues. Rapid growth of production and consumption may create environment pollution such as sound and air pollution and road congestion. Environmental damage may bring negative effects on our quality of life. For the example, road congestion will produce more Co2 in a high density area. The health of residents in that area will been affected.

INFLATION

What is inflation?

What causes rising prices in an economy and what are some of the consequences?
What tools are available to keep inflation under control?
Inflation is best defined as a **sustained increase in the general price level** leading to a fall in the **purchasing power** or **value of money**.
The value of money refers to the amount of goods and services $1 can buy and is inversely proportionate to the rate of inflation.
Inflation reduces the value of money. When prices are increasing, then the value of money falls.
The **rate of inflation** is measured by the annual percentage change in the level of consumer prices. The British Government has set an **inflation target** of 2% using the **consumer price index** (CPI).
It is the job of the Central bank to set interest rates so that AD is controlled and the inflation target is reached

Deflation

Price deflation is when the **rate of inflation becomes negative**, i.e. the general price level is falling and the value of money is increasing.
Some countries have experienced deflation in recent years – good examples include Japan and China. In Japan, the root cause of deflation was slow economic growth and a **high level of spare capacity** in many industries that was driving prices lower.
In China, economic growth has been rapid – but the huge amount of capital investment and rising productivity has led to **economies of scale being exploited** and a fall in production costs.
There has been some price deflation in the UK economy – not for the whole economy – but for items such as clothing (where many prices of clothing on the high street have been driven lower by cheaper imports); audio-visual equipment, computers and many other household goods.
The effects of technological change in increasing supply are important when explaining deflation in some UK markets. Rapid advances in technology help to explain for example the sharp fall in the prices of state of art digital cameras and televisions, which has made the digital age accessible to millions of consumers

Hyperinflation

Hyperinflation is extremely rare. Recent examples include Yugoslavia Argentina , Brazil , Georgia and Turkey (where inflation reached 70% in 1999).
The classic example of hyperinflation was of course the rampant inflation in Weimar Germany between 1921 and 1923 .
When hyperinflation occurs, the value of money becomes worthless and people lose all confidence in money both as a store of value and also as a medium of exchange.
The hyperinflation experienced in Zimbabwe is a good example of the havoc that can be caused when price inflation spirals out of control.
Often drastic action is required to stabilize an economy suffering from high and volatile inflation – and this leads to political and social instability.
The International Monetary Fund is often brought into the process of implementing economic reforms to reduce inflation and achieve greater financial stability

The main causes of inflation

Inflation can come from several sources: Some come direct from the **domestic economy**, for example the decisions of the major utility companies providing electricity or water on their prices for the year ahead, or the pricing strategies of the leading food retailers based on the strength of demand and competitive pressure in their markets.

A rise in government VAT would also be a cause of increased domestic inflation because it increases a firm's production costs.

Inflation can also come from **external sources**, for example an unexpected rise in the price of crude oil or other imported commodities, foodstuffs and beverages.

Fluctuations in the exchange rate can also affect inflation – for example a fall in the value of sterling might cause higher import prices – which feeds through directly into the consumer price index.

We make a simple distinction between **demand pull** and **cost push inflation**

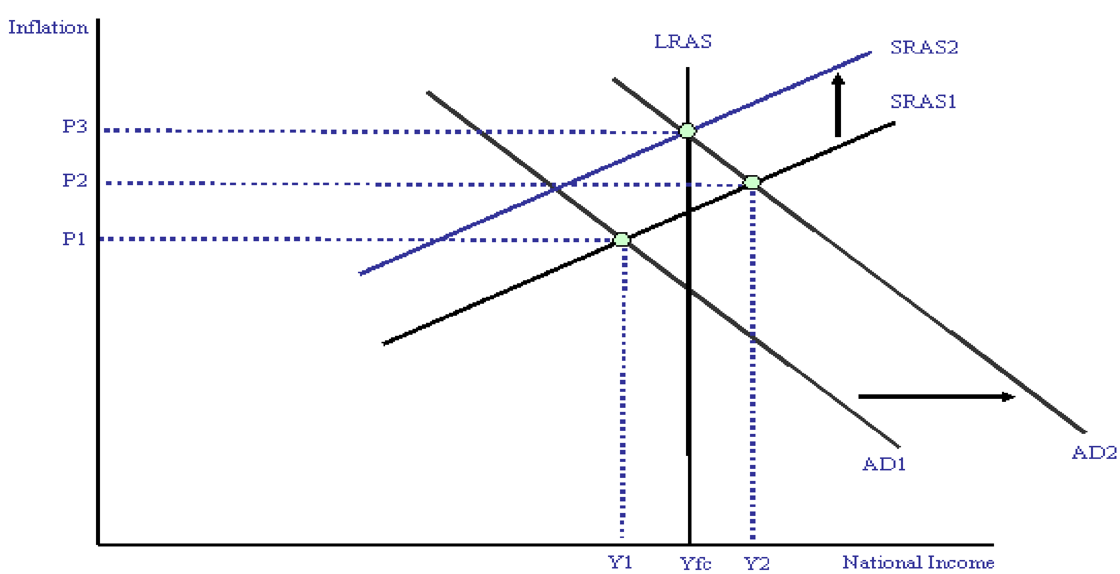
Demand-Pull inflation

Demand-pull inflation is likely when there is **full employment of resources** and aggregate demand is increasing at a time when SRAS is inelastic.

Demand pull inflation is largely the result of the level of AD being allowed to grow too fast compared to what the supply-side capacity can meet.

The result is **excess demand for goods and services** and pressure on businesses to raise prices in order to increase their profit margins

This is shown in the next diagram:



In the diagram above we see a large outward shift in AD. This takes the equilibrium level of national output beyond full-capacity national income (Yfc) creating a **positive output gap**. This would then put upward pressure on wage and raw material costs – leading the SRAS curve to shift inward and causing real output and incomes to contract back towards Yfc (the long run equilibrium for the economy) but now with a higher general price level (i.e. there has been some inflation).

The main causes of demand-pull inflation

Possible causes of demand-pull inflation include:

A **depreciation of the exchange rate** which increases the price of imports and reduces the foreign price of UK exports. If consumers buy fewer imports, while exports grow, AD in will rise – and there may be a multiplier effect on the level of demand and output

Higher demand from a fiscal stimulus e.g. via a reduction in direct or indirect taxation or higher government spending. If direct taxes are reduced, consumers will have more disposable income causing demand to rise. Higher government spending and increased government borrowing feeds through directly into extra demand in the circular flow

Monetary stimulus to the economy: A fall in interest rates may stimulate too much demand – for example in raising demand for loans or in causing a sharp rise in house price inflation

Faster economic growth in other countries – providing a boost to UK exports overseas. Export sales provide an extra flow of income and spending into the UK circular flow – so what is happening to the economic cycles of other countries definitely affects the UK

Cost-push inflation

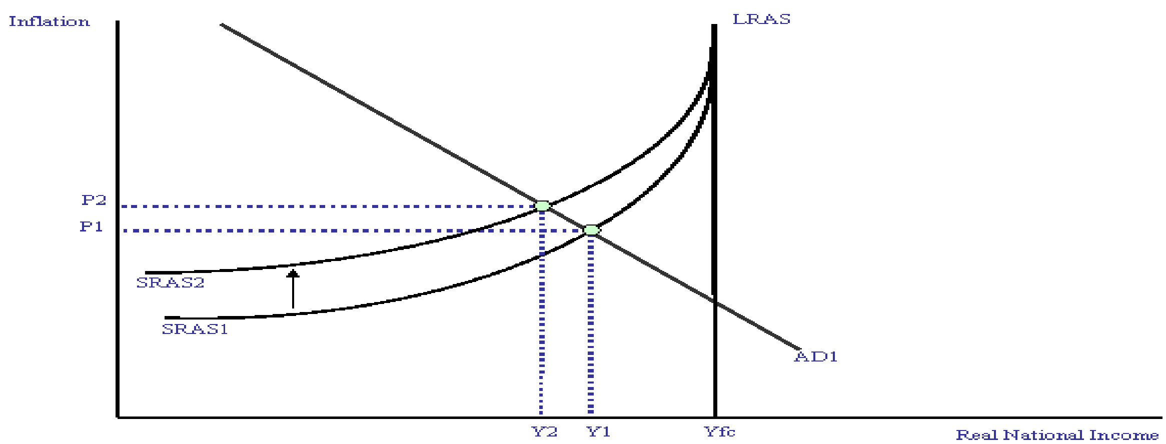
Cost-push inflation occurs when firms respond to **rising costs**, by increasing prices to protect their profit margins. There are many reasons why costs might rise:

Component costs: e.g. an increase in the prices of raw materials and other components used in the production processes of different industries. This might be because of a rise in world commodity prices such as oil, copper and agricultural products used in food processing

Rising labour costs - caused by wage increases, which are greater than improvements in productivity. Wage costs often rise when unemployment is low (skilled workers become scarce and this can drive pay levels higher) and also when people expect higher inflation so they bid for higher pay claims in order to protect their real incomes. **Expectations of inflation** are important in shaping what actually happens to inflation!

Higher indirect taxes imposed by the government – for example a rise in the specific duty on alcohol and cigarettes, an increase in fuel duties or a rise in the standard rate of Value Added Tax. Depending on the price elasticity of demand and supply for their products, suppliers may choose to pass on the burden of the tax onto consumers

Cost-push inflation can be illustrated by an **inward shift of the short run aggregate supply curve**. The fall in SRAS causes a contraction of national output together with a rise in the level of prices.



Which government policies are most effective in reducing inflation?

Inflation can be reduced by policies that (i) slow down the growth of AD or (ii) boost the rate of growth of aggregate supply (AS). The main anti-inflation controls available to a government are:

Fiscal Policy: If the government believes that AD is too high, it may reduce its own spending on public and merit goods or welfare payments. Or it can choose to raise direct taxes, leading to a reduction in disposable income. Normally when the government wants to **“tighten fiscal policy”** to control inflation, it will seek to cut spending or raise tax revenues so that government borrowing (the budget deficit) is reduced. This helps to take money out of the circular flow of income and spending

Monetary Policy: A **tightening of monetary policy** involves higher interest rates to reduce consumer and investment spending. Monetary policy is now in the hand of the Bank of England –it decides on interest rates each month.

Supply side economic policies: Supply side policies include those that seek to increase **productivity**, **competition and innovation** – all of which can maintain lower prices.

The most appropriate way to control inflation in the short term is for the government and the Central Bank to keep control of aggregate demand to a level consistent with our productive capacity.

The consensus among economists is that AD is probably better controlled through the use of monetary policy rather than an over-reliance on using fiscal policy as an instrument of demand-management.

But in the long run, it is the growth of a country’s supply-side productive potential that gives an economy the flexibility to grow without suffering from acceleration in cost and price inflation.

WHAT ARE THE CAUSES, EFFECTS AND CONTROL MEASURES OF INFLATION?

Inflation is the upward movement of price rise of goods and services. We all are affected by inflation. Nowadays, controlling inflation is biggest challenge for the Indian government. Here in this article, I focused on the causes, effects and control measures of inflation. However, a common man cannot control inflation. It is the responsibility of the government to control it.

Introduction

Inflation is an increase of average prices of goods and services. Inflation is a state in which prices are rising and value of money decreases. It results in a decline of the purchasing power. Most of the developed countries use the Consumer Price Index (CPI) to calculate inflation rate whereas India uses the Wholesale Price index (WPI) to calculate the same.

Causes of inflation

1. Unfavourable agricultural production: Indian agriculture is largely dependent on monsoon. In case of drought or famine the agricultural production is adversely affected. Due to this, price of agricultural as well as agro-based industrial products increases.

2. Hoarding: Most of the wholesalers and businessmen practices hoarding of commodities which leads to inflation.

3. Deficit financing: If the government resorts to deficit financing in order to meet its developmental expenditure, then it makes available funds for the growth of economy. But huge deficit financing leads to inflation.

4. Population and black money: Rapid growth of population causes inflation. Tax is the most significant and major source of public revenue. But, most of the people practices tax evasion. It turns into black money which is responsible for inflation.

5. Upward revision of administered prices: Commodities produced in the public sector have government administration of price level. The government keeps on raising prices in order to compensate the losses. This leads to inflation.

Effects of inflation

1. People with low and fixed income: During inflation, the price rise is faster than rise in income, thus savings are reduced. There is an increase in expenditure of people. This causes distress and difficulties to the people with low and fixed income people.

2. Manufacturers and Businessmen: During inflation, due to increase in demand for goods and services, manufacturers and businessmen gain and expand their activities. Unemployment falls and opportunities arise for extra earning through overtime work.

3. Capital and quality of goods: The value of money falls. Capital may be driven out from the country. Quality of commodities affects adversely. Deterioration in the quality of goods produced in the country.

4. Wage-earners: The real incomes of the wage-earners are reduced. Rich become richer and poor become poorer. Due to this, social conflicts start gaining roots. Political instability might set in. Corruption, immorality, unethical conducts increases causing discontent and frustrations, especially among lower and middle class of the society.

Measures to control inflation

1. Monetary measures: Monetary measures are used by the government in order to control inflation. In India, it is implemented by Reserve Bank of India. Main tools of monetary measures of credit control include Bank Rate policy, Open Market Operations ,

Cash Reserve Ratio. These measures are used to achieve full employment, to maintain a fairly stable exchange rate, to achieve rapid economic growth and promote economic equality.

2. Fiscal measures: Fiscal measures relates to public revenue and public expenditure and matters related thereto. Important tools of fiscal measures are Public revenue and

Public expenditure. The major sources from where public revenue is generated include income tax, wealth tax, excise duty and sales tax. Public expenditure refers to the expenditure by the government on productive as well as non-productive activities. Productive expenditure includes expenditure on infrastructure development, development of industries like iron and steel, chemicals, heavy engineering, etc. Non-development expenditure includes expenditure on administrative machinery, law and order, defences, etc.

3. Other measures: These may be short term or long term. Short term concerns with the distribution of essential commodities on ration cards at reasonable price. Long term includes population and economic planning. Population planning is used to aware the people about family planning. Economic planning is used to accelerate the economic growth and development of country.

INFLATION - POLICIES TO CONTROL INFLATION

Inflation can be reduced by policies that slow down the growth of AD and/or boost the rate of growth of aggregate supply (AS)

Fiscal policy :

1. Controlling aggregate demand is important if inflation is to be controlled. If the government believes that AD is too high, it may choose to ‘tighten fiscal policy’ by reducing its own spending on public and merit goods or welfare payments

2. It can choose to raise direct taxes, leading to a reduction in real disposable income

3. The consequence may be that demand and output are lower which has a negative effect on jobs and real economic growth in the short-term

Monetary policy :

1. A ‘tightening of monetary policy’ involves the central bank introducing a period of higher interest rates to reduce consumer and investment spending

2. Higher interest rates may cause the exchange rate to appreciate in value bringing about a fall in the cost of imported goods and services and also a fall in demand for exports (X)

Supply side economic policies:

1. Supply side policies seek to increase productivity , competition and innovation – all of which can maintain lower prices. These are ways of controlling inflation in the medium term

i.A reduction in company taxes to encourage greater investment

ii.A reduction in taxes which increases risk-taking and incentives to work – a cut in income taxes can be considered both a fiscal and a supply-side policy

iii.Policies to open a market to more competition to increase supply and lower prices

Rising productivity will cause an outward shift of aggregate supply

Direct controls - a government might choose to introduce direct controls on some prices and wages

1. Public sector pay awards – the annual increase in government sector pay might be tightly controlled or even froze (this means a real wage decrease).

2. The prices of some utilities such as water bills are subject to regulatory control – if the price capping regime changes, this can have a short-term effect on the rate of inflation

Evaluation points – how best can inflation be controlled?

The most appropriate way to control inflation in the short term is for the government and the central bank to keep control of aggregate demand to a level consistent with our productive capacity

AD is probably better controlled through the use of monetary policy rather than an over-reliance on using fiscal policy as an instrument of demand-management

Controlling demand to limit inflation is likely to be ineffective in the short run if the main causes are due to external shocks such as high world food and energy prices

The UK is an open economy in which inflation is strongly affected by events in the rest of the world

In the long run, it is the growth of a country's supply-side productive potential that gives an economy the flexibility to grow without suffering from acceleration in cost and price inflation.

INFLATION AND ECONOMIC GROWTH

Inflation is a condition, when cost of services coupled with goods rise and the entire economy seems to go haywire. Inflation has never done good to the economy. However, whenever there is expected inflation, governments around the world take appropriate steps to minimize the ill effects of inflation to a certain extent. Inflation and economic growth are parallel lines and can never meet. Inflation reduces the value of money and makes it difficult for the common people. Inflation and economic growth are incompatible because the former affects all sectors as indicated by:

CPI or Consumer Price Index

A rise in the CPI indicates inflation. The CPI or the consumer price index is used as an index for salaries, wages, contracted prices, pensions. This is done to adjust with the inflation effects. It is an important economic indicator.

GDP or Gross Domestic Product

The gross domestic product is another important economic indicator and is usually inflation adjusted. This is an important tool for measuring the rate of inflation.

The important segments, which are hampered include:

Investment

Interest rates

Exchange rates

Unemployment

Stocks

Various monetary policies

Various fiscal policies

The effect of inflation and economic growth is manifested in the following cases:

I) Investment:

If the price of goods increases and people have to compensate for the increase in price, they usually make use of their savings. In the event when savings are depleted, fund for investment is no longer available. An individual tends to invest, only if savings of an individual is strong and has sufficient money to meet his daily needs.

II) Interest rates:

Whenever inflation reigns supreme, it is a well known fact that the value of money goes down. This leads to decline in the purchasing power. In the event, when the rate of inflation is high, the interest rates also rise. With increase in both parameters, cost of goods will not remain the same and consequently people will have to shell out more money for the same goods.

III) Exchange rates:

Inflation and economic growth are affected by exchange rates as well. Exchange rates denote the value of money prevailing in different countries. High rate of inflation causes severe fluctuations in exchange rates. This adversely affects trade (export and import), important business transaction across borders, value of money also changes.

IV) Unemployment:

Growth of a nation depends to a large extent on employment. If rate of inflation is high, unemployment rate is low and vice versa. This theory is propounded by economist William Philips and this gave rise to the Philips Curve.

V) Stocks:

The returns a company offer, on investment fully depend on the performance of the company. Past performance, current position of the company and future trends decide how much(money, in form of bonus or dividend) is to be returned to the investors. Owing to inflation, several monetary as well as fiscal policies are impacted.

Conclusion:

In reality, low inflation rate and an upward economic growth is never possible. Nevertheless, low inflation rate means slow economic growth. Whenever, money is in excess, there is bidding by the consumers due to which the cost of goods escalate.

INFLATION CAUSES AND REMEDIES

Inflation is define as, " inflation is the term given to the expansion of money supply, in excess of the amount justified by the state of the trade resulting in a general rise in prices".

Coul Born has beautifully define the term as " too much money chasing too few goods".

According to the Crowther says, "Inflation is a state of economy in which the value of money is following.

Examples prices are rising.

There are two kinds of inflation:

Demand pull inflation.

Cost push inflation.

Here we goes to describe the above kinds of inflation in detail.

1. Demand pull inflation:

Some economists believes that inflation is caused by increase in aggregate demand for goods. They say that demand may rise due to many causes including increased money supply for example; people may reduce savings and spend more. As aggregate demand rises for goods and services, firms try to increase production. To this they need more workers, more machines and more raw materials. If these resources are not available because they are already full employed, the firms will not be able to increase output. In this case, rising demand causes inflation.

2. Cost push inflation:

Some economists think that inflation occurs due to rising costs. When the firms pass on their increased costs to consumers in the form of higher prices inflation starts. Important sources of rise in cost include workers demand for higher wages, increase in taxes.

Causes of inflation:

a. Population explosion:

Our population is rising at a very fast that is 3%. On other hand the rate of growth of GNP is not very high that is 5.4%. Thus increase in national output is insufficient to solve the problem of scarcity of goods. Since independence, our population has increase four times.

b. Political instability:

A country's economy depends upon political stability. Political instability discourages investment and encourages speculation. Under such circumstances, the industrialist and businessman feel unsecure and cannot make good plans. The government also cannot adopt affective measures to control rise in prices.

c. Imported inflation:

A very important cause of inflation in Pakistan is the existence of inflation in their countries. Since 1970's most countries are experiencing inflation. The result in the Pakistan has to import machinery, raw material and other goods at higher prices.

d. Nationalization:

Due to nationalization of industrial in 1992, people were discouraged to make investment in industrial. Moreover in Pakistan the nationalization industrial did not perform will. They becomes centers of in sufficient production, high prices and poor quality goods were result.

e. Wages increases:

The increase in wages of workers has also contributed to inflation. Increase in wages result in higher cost of production of goods. So their price rises.

f. Climatic factors:

Pakistan economies heavily depend upon agriculture but due to weather condition many crops fall short of target, thus pushing up prices. For example cotton production remain stagnant and below target during previous years. Wheat production has also not kept pace with rising demand.

g. Oil crises:

The oil prices in 1973 created by a large quantity of inflation throughout the world. Import of oil is a high Burdon on our foreign exchange resources. At present 25 persons of our exports are used to pay for oil. From time to time, oil exporting countries increase price of oil, which raises transport cost.

h. Artificial scarcity of goods:

Frequent artificial scarcity of essential items is created (cement, ghee, oil, sugar, etc) and huge profits are charged. Similarly through smuggling, large quantity of essential goods is sent to Afghanistan and India.

Remedies of inflation:

It is the main objective of every government to take proper measures to control inflation.

The main measures which are used to control inflation are:

Monitory policy.

Fiscal policy.

Direct measures and other measures.

1. Monitory policy:

Monitory policy is a policy that influences, the economy through changes in money supply and available credit. Monitory policy is adopted by central bank of country. The various monitory measures which are used to control inflation are grouped under heads.

a. Qualitative control.

b. Quantitative control.

There are:

1. Open markeet operations

2. Variation in bank rates

3. Credit rationing

4. Varing reserve requirements.

2. Fiscal policy:

Fiscal policy is the deliberate change in either government pending or taxes to simulate or slow down the economy. It is the budgetary policy of government relating to taxes, public expenses, public borrowing and deficit financing.

Fiscal policy is based upon demand management examples, raising or lowering the level of aggregate demand by controlling various. Expenses, government expenses, consumption expenses.

3. Direct measures:

It means the step of government like rationing of goods and freezing of prices and wages. The government can also increase voluntary savings of people by giving them various incentives.

Other measure:

a. Increase in output:

The most effective method to control inflation is to increase the supply of goods. For this purchase, industrial and agricultural out put should be increased. However, Pakistan performance in this regard in unsatisfactory.

b. Control of smuggling:

All steps should be adopted to check these evils through publicity as well as punishment. Large quantity of wheat, ghee, and other essential commodities being smuggled to Afghanistan should be control.

c. Industrial peace:

Industrial peace should be control to maintain the supply of goods and avoid the danger of scarcity. The disturbance such as what happened at Karachi during the post years? Should be control.

d. Control of money supply:

Volume of credit and money supply should be control. This can be done if tight monitory policy is followed. Decrease in money supply means less purchasing power with the people.

e. No deficit financing:

Deficit financing should be disco tribute. The development expenses should be meat through taxation, savings. Excessive issue of currency should not be used to meet budget deficit.

f. Population control:

Measure should be adopted to decrees the rate of population growth. The campaign of population planning has already started showing some success.

g. Simple living:

Luxurious life style should be discouraged and simple living should be adopted. The political leaders should themselves adopt simple living and provide an example for others.

PREVENTIVE MEASURES TO CONTROL INFLATION

Causes of inflation are many and varied. Monetarists and classicists blame on an increase in money supply that results in an increase in aggregate demand.

Keynesians, on the other hand, do not attach any importance to the monetary factors. To them, inflation is caused, of course, by an increase in aggregate demand (C + I + G + X – M).

Basically, these two arguments for inflation lead to demand management policies. Demand management policies may be broadly grouped into (i) monetary policy, and (ii) fiscal policy. However, inflation is also caused by cost-push factors. Often prices and incomes policy are suggested to control this type of inflation.

In fact, inflation in an economy is a mixture of demand-pull and cost-push factors. Thus, for controlling inflation, policymakers employ three methods: (i) monetary measures; (ii) fiscal measures; and (iii) non-monetary measures. In advanced countries, indexation method is sometimes employed as an anti-inflationary devise.

(i) Monetary Measures:

Monetary policy is the policy employed by the central bank to alter the cost of credit, demand for credit and the availability of credit. It is also known as the credit control policy.

A central bank has the following instruments of credit control at its disposal to influence the demand, cost and availability of credit or the country's money supply:

(a) Bank rate,

(b) Open market operations,

(c) Variable cash reserve ratio, and

(d) Selective methods of credit control.

The stabilisation policy of the central bank requires a ‘dear money policy’ with the intention of reducing aggregate demand. In order to fight inflation, the central bank increases bank rate, conducts open market sale of bonds and securities, increases the minimum cash reserve ratio.

All these measures make bank credit more costly. Higher cost of credit makes less availability of credit and, hence, less money supply. These have the potentiality of contracting aggregate demand. Since all these measures reduce the credit-creating potentiality of commercial banks, aggregate private spending gets reduced and inflation is thereby controlled.

Finally, central bank employs selective credit control when any particular sector(s) rather than the entire economy experience inflationary price rise. However, this instrument is effective mainly in controlling consumption spending.

However, there are some limitations of the monetary policy that restrict its effectiveness. First, monetary policy affects aggregate de-mand only indirectly, i.e., by raising interest rate and reducing money supply. Thus, its efficacy can only be felt after a time lag. Secondly, not all types of aggregate spending are influenced by monetary control weapons.

If public spending rather than private spending constitutes the bulk of aggregate demand, monetary policy measures will be of little use. Pub-lic spending is not easily amenable to control by central banking policies. Thirdly, monetary policy can combat demand-pull inflation rather successfully, but cost-push inflation is not subject to central banking control. High wages or hike in prices of raw material, etc., generate cost-push inflationary tendencies. Bank rate, open market operations and other instruments of credit control have no answer to cost-push inflation. In view of these limitations, other policy measures are used. The most important of these is fiscal policy measures.

(ii) Fiscal Measures:

Fiscal policy measures comprise the policy of the government relating to taxation, expenditure and borrowing. These three elements of fiscal policy influence aggregate spending. Contractionary fiscal policy is rec-ommended during inflation. We know that the bulk of aggregate spending is derived from government spending. During inflation, government spending may be reduced.

However, due to some political reasons or economic compulsion, cut in public spending may be difficult. However, unproductive public ex-penditure must be controlled. Often, modern governments have the tendency to spend more to please the voters without bothering about the impact of inflation that may fall upon the society badly. In fact, control of expenditure is one of the important solutions to inflation.

When a country is exposed to inflation, the government may raise both direct and indirect taxes to wipe out excess aggregate spending. Once a tax on income and/or wealth is imposed, disposable income gets reduced. This will greatly reduce private aggregate spending. However, in reality, a government may be reluctant in raising the rates of taxes since taxpayers may vote out a government from power.

In order to mop up excess purchasing power at the time of inflation, the government may resort to borrowing from the public by selling government bonds.

Fiscal policy, like monetary policy, is not faultless. It is exposed to certain limitations. First, the fiscal policy and politics go hand in hand in the sense that fiscal policy is never taken in a political vacuum. Political compulsions greatly reduce its effectiveness. Secondly, injudicious use of tax-expenditure programme may not yield desired results.

An increase in income tax reduces disposable income and, hence, consumption spending. But increase in tax rates causes rates of saving and capital formation to decline. Further, a cut in transfer payments like food subsidy programme to poorer persons or unemployment allowance, etc., may seem to be unwise during inflation though such expenditures are required to be curbed.

Before we conclude the effectiveness of monetary policy and fiscal policy measures, we must say that even the best combination of these two policy measures may not yield desired results. What is required for the effectiveness of these policy measures is ‘good timing’. In addition, it is well-nigh impossible to achieve a right blending of monetary and fiscal policy measures to influence aggregate spending because of many reasons.

First, we cannot say definitely whether aggregate demand is really rising or falling. No economy does own a ‘speedometer’ that can tell how fast the aggregate demand is growing—’We find out what GDP is doing during the current quarter only at the end of the quarter’. Even then such figures are tentative and subject to revisions. Above all, stabilisation policy is necessarily based on forecasting and short term economic forecasting may be an art, but not an exact science.

(iii) Non-Monetary Measures:

The permanent solution towards inflation should be an increase in output since inflation is caused by the excess aggregate demand over available output. By shifting resources of the country from the unproductive to the productive sectors, output can be increased. Tech-nological improvement may also lead to higher output. Secondly, by controlling wages and other allowances, inflation of cost-push variety can be checked. Thirdly, price control cum rationing of essential commodities may also be recommended as short run measures.

In addition, corrupt and inefficient administration often blunts the efficacy of various anti- inflationary measures. The activities of black marketers, speculators, hoarders, etc., are to be dealt with severely since their activities basically provoke inflation.

(iv) Indexation:

An indexation—sometimes called index- linking—method is recommended to combat inflation, rather reducing it. This policy works by linking money payments (such as wages and salaries) to an index of price inflation so as to maintain purchasing power at the same level. This means that if the price index rises by 7 p.c., money wages would also increase automatically by the same percentage. Wage- earners, under the circumstance, will not experience any reduction in their purchasing power. However, with indexation, not only wage earners but also creditors are protected.

Indexation method is considered to be a less popular method as it is itself inflationary in character. Indexation may be desirable only when high inflation rates prevail.

Conclusion:

In conclusion, we must say that the control of inflation remains a multi-pronged attack. A particular policy cannot yield the best results. In other words, to control inflation the argument that only monetary policy or only fiscal policy matters is utterly wrong. These anti-inflationary measures must be used simultaneously so as to obtain the best result.

WHY AND HOW DOES GOVERNMENT ATTEMPT TO CONTROL INFLATION?

To explain how it does this I must first explain the different causes of inflation.

The official measure of the inflation is the increase of the general level of prices measured over a period of time (a year usually), and RPI, TPi or CED is used as a measurement.

First type of inflation is so called cost-push inflation. It basically means that increasing costs of factors of production (wages, rent interest, cost of raw materials, increased normal profit requirement) push up the general level of prices. This applies to the aggregate supply side of the economy and arises partly because general wage costs arise, for example the powerful trade unions might have pushed up wages without increasing the productivity.

Import prices play a role as well, because nowadays no country is independent of the others. When a country has lower inflation than others it tends to "import" inflation with its foreign trade because foreign goods get more expensive. Also, for example, the massive rise in oil prices affected western oil- importing economies and caused inflation.

The changing exchange rates also cause inflation. It is estimated that a 4% devaluation in a currency raises inflation by 1%.

As the production costs of the firm raise it has to increase its price to cover the costs. Then in turn, as the goods are expensive, labour demands wage increases that will increase the production costs even further.

Especially sensitive to increasing production costs are firms using mark-up pricing as they price their product directly according to the cost plus add a marginal.

Another type of inflation is demand-pull inflation. This occurs when aggregate demand exceeds the value of output (measured in constant prices) at full employment. This is shown in the graph on the next page:

If the expenditure line C+I+G+(X-M) increases (for example due to an expansionary budget), then the new equilibrium shifts from Y fe to Y e leaving an inflationary gap. This is called so, because the economy cannot produce anymore, so the excess expenditure capacity is eliminated by raising the prices. Both Keynesians and monetarists believe that this is associated with an increase in money supply, only Keynesians think that demand brings about the increase in money supply, whereas monetarists think it is the money supply increase that causes the rise in demand.

Third type of inflation is so called monetary inflation. As in the economy MxV=PxT where M is the money supply, V is the velocity, P is the general price level and T is the number of transactions. Now, monetarists believe that V and T are constants, so they thought that money supply and inflation are directly related. This did not imply in 1980 when inflation raised, but money supply remained constant. And indeed the velocity of M o has increased from 10 in 1970 to 30 in 1990, but the velocity of M 4 is much smaller and actually decreased from 1982 to 1987 due to banks making the savings more attractive.

Money supply can rise due to low interest rates (but hight interest might attract hot money), no restrictions on lending or liberate lending policy (especially recently).

In reality the inflation is often multicausal and that is why it is hard to find a real pattern. The chief cause of inflation in one year might not be the same as in the next year.

The consequences of inflation are quite serious. It has bad effect on growth (especially argued by monetarist), because it increases uncertainty and discourages savings. It is also damaging for the balance of payment, because it makes imports cheaper. It distributes incomes in favour of profit earning, away from fixed earning pensioners, whose real income will fall.

There are great controversies regarding the consequences of inflation to the employment. Professor Philips worked before 1965 and invented the Philips curve, showing that inflation and unemployment are inversely related inflation being zero about when unemployment in 5.5%, but latter statistical analyses have not proved its view, indeed it has been argued that more inflation causes more unemployment, or that the inflation affects unemployment only in the short-run whereas in the long run the aggregate supply of labour is perfectly inelastic.

The government has several ways to control inflation. It can do this by means of fiscal policy, that manages the aggregate demand by using government spending.

To reduce inflation government should reduce expenditure and raise taxes. This policy, anyway, works only against demand caused inflation and faces great opposition from the people as they are made worse of by reducing spending on health-care etc. The fiscal policy is very unpopular.

Main weapon to fight against inflation after 1970 has been monetary policy, widely used by Conservatives. The main policies have included controlling interest rates (dear money policy) and medium-term financial strategy (setting guidelines of how much M 3 can raise. This system was abolished, because any statistical regularity will tend to collapse once pressure is placed upon it for control purposes (Goodhart's law), so happened to M 3 and it grew too rapidly). Also the real inflation is much caused by peoples expatiation on future inflation, reducing the expectations of inflation in the future has been one of the governments' aims.

A very effective way to reduce the cost push inflation is by direct intervention or prices and incomes' policy. This is when government takes measures to restrict the increase in wages (incomes) and prices.

There are two types of direct intervention, like statutory - govn freezes wages and prices and voluntary - government tries through argument and persuasion to make firms adopt smaller prices and wages.

The problems with direct intervention are the confrontation with trade unions and employers, because the prices are much more easily controlled in public sector, it tends to discriminate in favour of private sector. It also distorts market forces, because expanding sectors can't find any new workers, because of the low price, whereas declining sectors hold on to theirs. This policy also tends not to take account the differentials, usually flat base policy is used (e.g. every worker can get a pay rise of £4 a week), which is unfair to people earning higher salaries as their percentage pay rise is much smaller, in the other hand it makes the distribution of income more fair.

Wages' drift will tend to occur, too. The earning will rise faster than wages due to ridiculous bonuses and overtime work (e.g. miners were paid for taking a shower). Usually the normal work-time is reduced and as the workers work the same time they are paid an overtime rate.

Direct intervention policies in the UK have not been used lately. Anyway, in the past they were quite usual. It was first used in 1945 and it was successful till 1950, but collapsed in inflation. Labour and Conservative governments promised not to use it before the election, but then were faced with rising inflation and finally had to. This playing continued for quite a while until in 1980-ies it was agreed that a long-term strategy should be worked out worked out.

Direct intervention policy is more effective in short-term, but it stores up trouble for the future, because prices tend to rise rapidly as soon as the policy is abandoned.

Do you agree that large firms are always better than small firms? Justify your answer. (25 marks)

Large firms can experience certain advantages that small firms cannot achieve thus can be argued to be better; however this may not always be true as they may also face disadvantages for example from diseconomies of scale. Furthermore the market is fundamental to determine if large firms are better than small firms, as perfectly competitive and monopoly markets varies the advantages and disadvantages of being a small or large firm.

Large firms tend to benefit more due to several factors from economies of scale; this means that the firm can benefit from falling average costs in the long run – however small firms cannot achieve such benefits. For example purchasing benefits whereby large firms are able to bulk buy raw materials as they are producing on a larger scale thus are able to receive discounts and therefore reducing production costs. Or they may experience technical economies whereby investment in more advanced machinery or larger premises will allow firms to experience increasing returns to scale where output is greater than input thus improving productive efficiency through division of labour and specialisation resulting again in lower costs. Economies of scale can be illustrated in diagram 1, whereby when output increases (Q to Q1), cost decreases (C to C1). Minimum efficient scale is illustrated at the constant part of the LRAC labeled QA firms are operating at the optimum point experiencing constant long run average costs where economies of scales are exhausted; the firm therefore is operating at long-run productive efficiency. This is the reason why large firms are considered to be better than small firms. However as the LRAC curve rises; large firms will experience diseconomies of scale. For example as a firm grows control becomes more difficult, monitoring productivity of each worker in a large firm will become more challenging thus may result in a loss of productive efficiency and therefore rising average costs. Additionally coupled with poor communication and co-ordination due to increasing size of firms increasing average costs are accelerated. Furthermore as large firms are often public limited companies ownership and control is often divided among a group of shareholders thus control over the firm is not subject to one person and instead are run by several directors who carry the interest of the shareholders. This makes management over large firms more difficult as negotiations and meetings are needed to carry out various operations thus reducing the efficiency of the firm whereas small firms are usually owned by one person thus management and decisions are able to be made swiftly. Also communication and co-ordination in small firms are much easier to manage and is less costly due to smaller amount of factors of production. In this sense, small firms can be argued to work more efficiently than large firms.

Some large firms strive for monopoly market power therefore enjoying greater market power and influence thus larger profits which may be used to finance and promote innovation can result in dynamic efficiency and therefore economic growth. Additionally it enables them to obtain supernormal profits however this is impossible for small firms to achieve. This is illustrated in diagram 2 where profit maximisation occurs at MC=MR output ‘Q’, ATC is ‘Pn’ however monopolists will charge ‘Ps’ exploiting consumers at the point of demand thus will make supernormal profits illustrated in the shaded region of the diagram. Monopolies are also able to protect their market position through the use of entry barriers. However monopolies are very rare thus such a market is not very likely to occur in the real world. Furthermore at the point of supernormal profits monopolists are not productively efficient as they are not operating at the optimum point of the ATC curve, this is because as a monopoly they face no threats to compete with others firms therefore can be considered X-inefficient as they are ‘slacking’ in efficiency if they were to be in a more competitive market. Also monopolies may not use their profits to invest to innovate thus may prevent growth. Therefore it can be argued that small firms are better as their objectives do not include exploiting consumers with high prices for supernormal profits thus may operate where they are productively efficient. Additionally since small firms cannot operate as a monopoly, there will be no abuse of monopoly power therefore small firms can be argued to be better.

However a perfectly competitive market is made up of a large number of small firms; the industry equilibrium of supply and demand which establishes the price – firms who try sell above this amount, consumers will not buy the product, similarly if the firm sells below this price consumers will purchase their goods however they will not be maximising returns. And thus the individual firms have no choice but to accept the price given by the industry and therefore act like price takers in a perfectly competitive market. However they can benefit from allocative efficiency; this is where the optimum allocation of scarce resources that best accords with the consumers’ pattern of demand. As shown in diagram 3 price is equal to marginal cost (P=MC) thus allocative efficiency is achieved in both the short and long run, as at the ruling price ‘P’ firms are producing the exact quantity consumer’s demand and thus there are no wasted resource thus total economic welfare is maximised.

Furthermore small firms in a perfectly competitive market often also benefit from productive efficiency as well as dynamic efficiency thus will lower costs. However the conditions for a completely competitive market are based on several assumptions such as perfect information – consumers will have all available information about price and products from competing suppliers and can access freely, many sellers and buyers, no externalities etc. however this is impossible to have in reality thus such market does not exist.

Overall large firms are better in terms of the benefit of economies of scale however there are pull backs if the firm becomes too large and diseconomies sets in. Additionally if a large firm becomes a monopoly; they can achieve high profits but only at the expense of exploiting consumers and they may not use profits to invest further thus abusing monopoly power this therefore suggests that large firms may not be better than small firms in all cases. In perfectly competitive market small firms has the advantage of great economic efficiency and are able to minimise costs unlike monopoly firms. However it must be emphasized that such markets are impossible in reality. Therefore overall both large firms and small firms are only better in than each another in certain cases.

Inflationary and Deflationary Gaps

In a two sector economy where there are firms and personals doing certain kind of economic transaction between each other the equilibrium occurs where C + I equals S + C or aggregate demand of the economy equals the aggregate supply of the economy and if this happens to be at a level of income which represents full employment in the economy, itcan only be regarded as blessing because it the best situation which can exist in the economy at any time. Still, it is not necessary that equilibrium level of income always represents full employment level of output and ser vices. It can either be above it or can be below it. Then these situations are termed as gaps in th eeconomy .

What is Inflationary Gap Definition

When the economy is operating at a level which is greater than full employment it is called inflationary gap and counter part of this case is known as deflationary gap.

What is Deflationary Gap Definition

When the national income is below the full employment level it means the investment opportunities are not enough to utilize all the saving that will be available if N.Y is to be maintained at full employment in such a case there exists a situation known as deflationary gap also known as recessionary gap.

Deflationary gap is measured by the excess of saving over investment or by the difference of income levels at equilibrium and at full employment. An inflationary gap rises when saving falls short of the total investment of the economy or the excess of equilibrium level of income over the full employment level of income, after full employment is reached the physical output cannot be increased so whatever may be the increase in income it is an increase in the financial value of the existing products.

Recurrent Expenditure

Recurrent expenditure consists of regular expenses that go into the running of the County. These include salaries and allowances paid to County employees; operational costs such as travelling and accommodation, telephone, electricity and water bills; maintenance costs incurred on equipment, buildings and installations; as well as funding for costs incurred to cover compulsory obligations such as bank charges, interest on official debt, remuneration costs and other services.

Debt Trap

A debt trap is a situation in which a borrower is led into a cycle of re-borrowing, or rolling over, their loan payments because they are unable to afford the scheduled payments on the principal of a loan. These traps are usually caused by high-interest rates and short terms.

Debt traps are circumstances in which it is difficult or impossible for a borrower to pay back money that they have borrowed. These traps are usually caused by high interest rates and short terms, and are a hallmark of a predatory lending .

How does a Debt Trap work?

Any time a person borrows money from a professional lender —whether it’s a loan or a line of credit —there are two basic elements to the loan agreement. First, there is the loan

Principal : the amount of money that the person has borrowed. Second, there is the

Interest : the amount of money that the lender charges on the principal.

Paying back borrowed money means paying back both the principal and the interest. Paying back the principal is especially important because it’s the only way that a borrower makes progress towards paying off the loan in full. Many installment loans come withamortizing structures, which means that the loan is designed to be paid off in a series of regular, fixed payments; each payment applies toward both the principal and the interest.

A debt trap occurs when a borrower is unable to make payments on the loan principal; instead, they can only afford to make payments on the interest. Because making payments on the interest does not lead to a reduction in the principal, the borrower never gets any closer to paying off the loan itself. It’s pretty similar to a hamster on its wheel: running and running but staying in the same place.

The amount of interest charged on a loan will vary depending on several factors, including the creditworthiness of the borrower, the type of loan being issued, and the general health of the economy. The borrower’s creditworthiness is a very important factor, as people with a good credit score can usually qualify for better loans at lower interest rates. People withbad credit , on the other hand, will be often be saddled with higher rates and less favorable terms on the few loans they are able to get. This is why people with poor credit are generally at a very high risk for debt traps.

COST PUSH INFLATION

Cost push inflation occurs when there is a decrease in supply of goods and services. This happens when the cost of production increases and pushes the price level. The cost of production increases when there in increase in prices of the factors such as increases in wages, raw materials, indirect tax etc. When the companies are working at their optimum capacity, there cannot increase simply produce more and thus pass on the increased cost of production to the customers in terms of higher prices. The company passes the increased costs of production on to the consumer, making higher price levels.

Cost push inflation affects employment too because when there is a decrease in GDP, the demand for goods and services decreases, which then makes firms to lay off workers and decreasing the employment.

Causes of Cost Push Inflation

Supply shock: If there is an increase in prices of essential goods like oil, this raises the transport costs and all firms would experience higher costs.

Rising unit labour costs : Wages are a large share of costs for firms. Push for higher wages leads to an increase in costs of production for the firm and hence higher price level.

Higher taxes: Higher indirect tax, VAT etc raises the costs and thus the price level.

Rise in import costs: If there is depreciation in the exchange rate results in higher price of the imported goods.

Managing Cost Push Inflation

Cost push inflation can be countered through supply side policies but they are difficult to implement. Also, they take very long to take effect in an economy. However, successful supply side policies will increase or shift AS curve to the right. In short run, central banks would use contractionary monetary policies to reduce AD. The result of this policy would be high unemployment and a fall in output or GDP.

With a contractionary monetary policy, AD shifts to AD*, the new equilibrium price is P1 and output Y*and this is lower than the initial output and Y2, but it's at a lower price level. Thus, there exists a tradeoff between GDP, employment and price level when cost push inflation occurs. In general, cost push inflation increases the price level, decrease GDP and employment.

DEMAND PULL INFLATION:

This occurs when there is a strong consumer demand i.e. inflation due to increase in aggregate demand for goods and services. In demand pull inflation, the increase in demand for goods, pulls up the price to rise and thus raising the inflation. Here, the aggregate demand of the economy outweighs the aggregate supply which makes the price level to increase.

In a market where there is high demand for goods, prices ought to go up. Demand-Pull Inflation is also termed as "too much money chasing too few goods". The effect of inflation depends on how steep the AS curve is and how close it is to full employment.

Due to the increase of demand, firms tend to hire more people which eventually increase the output. Thus, firms hire more people, which increase employment. When people hold more money, this results in more demand for goods and services. And firms will try and hire more people to keep up with demand.

Causes of Demand Pull Inflation:

Consumption : If there is an increase in consumption and investment by firms, this will raise AD.

Exchange rate : Increase in price of imports and reduces the foreign price of a country's exports. If consumers buy less imports, then exports grow, AD in will rise.

Government Spending : Increase in government spending will rise AD.

Monetary growth : Excessive monetary growth raises the price of the good.

Managing Demand Pull Inflation

Countering such inflation requires central banks to implement tight monetary and fiscal policy like increasing the interest rate or lowering government spending, or raising taxes such measures would make consumers spend less on durable goods and housing. In demand-pull inflation, AD is rising too fast, so contractionary policies would slower the rise, inflation would occur but to a lower extent.

In case of demand pull inflation, which occurs due to increase in AD, raises the price level, GDP and employment too.

If an economy identifies what type of inflation is happening (cost-push or demand-pull), then the economy may be better able to take necessary counter action (if required) against rising prices and the loss of purchasing power.

What is the difference between inflation and deflation?

Inflation

Inflation occurs when the price of goods and services rise, while deflation occurs when those prices decrease. The balance between the two economic conditions, opposites of the same coin, is delicate, and an economy can quickly swing from one condition to the other.

Inflation is caused when goods and services are in high demand, creating a drop in availability. Supplies can decrease for many reasons: A natural disaster can wipe out a food crop; a housing boom can exhaust building supplies, etc. Whatever the reason, consumers are willing to pay more for the items they want, causing manufacturers and service providers to charge more.

Deflation

Deflation occurs when too many goods are available or when there is not enough money circulating to purchase those goods. For instance, if a particular type of car becomes highly popular, other manufacturers start to make a similar vehicle to compete. Soon, car companies have more of that vehicle style than they can sell, so they must drop the price to sell the cars. Companies that find themselves stuck with too much inventory must cut costs, which often leads to layoffs . Unemployed individuals do not have enough money available to purchase items; to coax them into buying, prices get lowered, which continues the trend.

UNEMPLOYMENT: MEANING, CAUSES, EFFECTS AND SOLUTIONS

Definition and Meaning: A person can be referred to as unemployed when he or she is willing and able to work but is currently jobless. Such people are usually actively seeking job opportunities.

In simpler terms, unemployment is the state of not having a job. A country is said to have a high rate of unemployment when many of its citizens do not have jobs. When a lot of people are without work in a nation, levels of poverty are also high due to lack of income sources.

Underemployment, on the other hand, is the situation in which people in a workforce are employed at less than full time. It can also be taken to mean a condition in which individuals are working at jobs that are inadequate when matched against their economic needs or training.

Underpayment is when people are not properly compensated in accordance with the risk or amount of work done. It is an approach taken by some employers to increase profit margins at the expense of employee welfare.

It is important for the state to intervene and reduce cases of unemployment because of its cyclical nature. It can result in many social problems in a country and stall economic growth.

Causes

There are many reasons for unemployment, underemployment, and underpayment in an economy. These are some of the more common causes:

1. Lack of skilled and technical training: The current business environment is such that there is high demand for skilled and techno-savvy employees. This has been necessitated by the incorporation of technology in many business processes. Technologies have been introduced in almost every sphere of the job environment. There is, therefore, a growing demand for skilled and specialized workers. Lack of skilled and technical training will thus make it difficult for an individual to find gainful employment.

2. Lack of education: A majority of those without employment in many economies are those who lack education. Going to school equips one with relevant skills and training required in the job place. There are several causes of lack of education. In many cases, people from poor backgrounds lack money to finance their education and therefore drop out of school. Areas with widespread poverty have high unemployment rates because of this. Cultural practices like early marriages also cause girls to drop out of school and start families. It explains why regions where this practice is prevalent, have so many women without jobs or reasonable sources of income.

3. Underpayment: It can be very frustrating when one works without being adequately compensated for the job done. Underpayment occurs when qualities are not recognized. The employer’s primary focus is to increase profit margins at the expense of workers. Workers sometimes have to work very long hours to make ends meet. A person can also be underpaid when he or she is working at a job that does not match the level of education that one has attained. For example, a university graduate working as a waiter at a fast food restaurant. The amount of money spent to acquire the degree dictates that the person is also compensated reasonably. Underpayment leads many people to quit employment due to frustration.

4. Employment of children at lower wages: This is another unethical business practice geared towards increasing profits. It occurs mainly in countries or regions with weak labor laws and institutions. Such children are employed as unskilled workers and therefore paid as such. Because of the young age, they are easily manipulated and taken advantage of. A lot of them do not also have responsibilities to take care of and therefore the small amount of money paid seems sufficient to them.

5. Large population: When an economy has more workers than the labor market demands, the level of unemployment will be high. It means that even skilled workers who are willing and able to work will be without jobs because of unavailability of employment vacancies.

6. Lack of job opportunities: Countries where a high number of young people have studied up to the university level but with limited job vacancies have serious unemployment problems. There is a lot of competition for the few slots available.

Effects

What happens when the rate of unemployment in a country is high? There are many problems that arise as a result of unemployment, underemployment, and underpayment.

1. Economic stress: Unemployment, underemployment, and underpayment cause economic stress because one is unable to meet financial obligations. An individual is condemned to a life of poverty with poor living standards. Resources are stretched thin, and even the little financial needs become difficult to meet.

2. Mental stress: Financial success is a key ingredient for peace of mind.When one is always worried about where the next meal will come from or where to get the cash to pay for basic needs such as clothing and education, stress sets in. Depression can also occur when the self-esteem of a person is damaged. An individual who has gone through school, earned a degree and spent a lot of money in the process can become so frustrated with life when he or she is unable to get employment. Depression can lead one to drugs and alcohol abuse as a coping mechanism.

3. Decreased demand for consumables: Consumerism is fueled by the purchasing power of the middle class. It leads into increased sales in the retail sector and fuels its growth and that of the country's economy. When people have jobs and are well paid, their purchasing power also improves. Lack of jobs, underpayment and underemployment cause a decrease in the purchasing power of citizens.

4. Societal unrest: Many people, especially youths, engage in criminal activities when they don't have jobs. Idleness forces them to find something to occupy themselves with. As mentioned before, areas with high rates of unemployment have very high crime rates. Economic stress also causes societal unrest as citizens become frustrated with their situations and try to find ways to attain better lives. This can be perpetrated through civil unrest to get the elected leaders to act and remedy the situation.

5. Unable to repay loans and due expenses: Defaulting on loan repayments was one of the reasons why the U.S economy went into recession in 2007. The banking sector suffered losses and this affected several sectors of the economy. Defaulting on repayment can also cause people to lose their property through foreclosure and repossession. It can set an individual back financially and trigger a chain of severe effects such as bankruptcy and loss of business.

Solutions

These are some of the ways in which the issues of unemployment, underemployment, and underpayment can be tackled:

1. Education: They say education is the key to success. It opens the door to many possibilities and equips one with both life and work skills. The lack of education condemns one to a life of poverty. There are people who would like to stay in school and attain the highest level of education that they possibly can but are limited by lack of money. Education should, therefore, be made accessible to everyone. One way of achieving this goal is by making basic education free for all. The government should also make it easier for students to access loans to pay for their education. In this way, more people will be able to go to school and learn important skills. Changing the syllabus to meet the challenges of the contemporary job environment is also a good approach. This should be done to keep up with the pace of technological changes.

2. Skilled Based Training, Vocational Training, Technical training : Skills and techniques should be taught through skilled-based training, vocational training, and technical training. This would greatly benefit those who are unable to afford university education or did not obtain sufficient grades to get into one. It would help tackle the problem of unemployment among the youth in rural areas who tend to end their pursuit of education after completing high school. Equipping them with such skills make them employable in a labor market that is very dependent on technical skills and training. Such training would also put them in a position where they qualify for better pay. Employers tend to pay skilled workers better than unskilled laborers.

3. Creation of diversified job opportunities: Economic policies go a long way in determining the rate of unemployment in a country. This can be drawn from the example of the 2007 global recession when many firms closed shop or downsized the number of employees to stay in business. Good economic policies will lead to the creation of jobs and reduce the level of unemployment in a country. Generation of better employment opportunities at all levels such as skilled, unskilled and professionals can also minimise the rate of unemployment. Encouraging the culture of entrepreneurship among the youth would also play a vital role in growing the economy and cutting down the number of unemployed young people.

4. Explore the hidden qualities: Creating awareness to help people find their hidden qualities can also be a way to address the problem of unemployment. This would encourage self-employment and reduce overdependence on the formal job sector. A naturally gifted artist can make art and sell it. A talented soccer player can improve his or her skills and become a professional player. A poet or creative writer can also use such talents to earn money. One of the reasons why many people who have gone to school rely too much on the formal job sector for employment is that the school system conditions them that way. It is lost on many of them that talents can also be used to earn a good income and lead a comfortable life. Creating awareness about this issue can

go a long way in making people proactive and cultivating a culture of self-employment among them. Many of the richest people in the world depend on their natural qualities to make money.

5. Improved communication for available job opportunities: Looking for a job is not an easy task. For many people, the biggest challenge is usually in identifying the available job opportunities. Where does one start from? Who do you talk to? What is the best way to make the application? There should be improved communication for the available employment vacancies to guide those interested in where to look. Sometimes companies do not find the right person for the available opportunity because the position was not properly advertised. Better communication will see a high number of people go for the available vacancies.

6. Geographical mobility beyond national borders: The one factor that has driven globalization is the advancement in technology. It has provided easier access to information and increased avenues of communication. Thanks to social media, people are now more culturally aware than before. A person living in, say India, has an idea of the culture of Australians because of platforms like Facebook and Twitter. The generated interest means that more people are now comfortable with going to foreign countries to pursue employment opportunities. The biggest hindrance to this desire is stringent immigration policies. Easy migration to foreign countries will encourage people to seek employment opportunities outside their borders.

Conclusion

Having a good life is not the preserve of a few people. Everyone should aspire to live well and make the most out of life. However, nearly all of these desires are dependent on having a stable source of income. The main reasons why many people go to school are to gain knowledge and learn important skills that will make them relevant in the job market. The restructured corporate environment is very dependent on skills and technical know-how. It, therefore, means that those without proper training will be left without employment because the are deemed unfit for the labor market. Education is one of the key ways of reducing the level of unemployment. It should thus be the prerogative of every government to ensure that every citizen gets a good education. Apart from this, individuals must also become creative and find alternative ways to earn income without relying on formal employment. This can be done through the utilization of natural talents and entrepreneurship. All these would go a long way in addressing the issues of unemployment, underemployment, and underpayment.

Problems in Measuring Inflation

Inflation is a measure of changes in the cost of living. It is calculated by using statistics such as Consumer Price index CPI, retail price index RPI. The process for measuring inflation is broadly

Creating a weighted basket of goods – depending on frequently goods are bought

Measuring monthly changes in prices.

Creating an index from the price change multiplied by the weighting of the good.

Difficulties in measuring inflation include

1. Changes in the quality of goods . Changes in the quality of goods mean that price rises may not reflect inflation, but just the fact it is an improved good. For example, computers have many more features than 10 years ago, so it is difficult to compare prices because they are effectively different goods.

2. Shrinkflation. It is also possible goods can deteriorate in quality and size. For example, the price of vegetables may stay the same, but if the size decreases, the price per gram effectively rises. Shrinkflation has often been a response to rising cost-push inflation – firms reduce the size of chocolate bars rather than increase the price. Inflation measures may not pick up on this marginal decrease in size.

3. One-off shocks may give a misleading impression . For example, a rise in oil prices will lead to higher inflation. But, this rise in prices may just be temporary. Tax changes have a similar effect.

4. Which measure to use? – There are numerous different measures of inflation which include different items in the inflation index. Measures of inflation include CPI, CPIH, RPI or RPIX. CPI excludes mortgage interest payments. CPIH includes them.

In 2009, with falling interest rates, RPI gave a negative inflation rate, whilst CPI was positive. There is often a difference between the two measures. A rise in interest rates causes RPI to rise but not CPI. Therefore, it is important which measure is used. The government's preferred measure is currently CPI.

5. Different groups can have different inflation rates. Rising electricity and gas prices may affect old people more than young people. Therefore, old people could have a higher inflation rate than the national average. This is important if pensions are index linked because their cost of living may rise more than prices causing a decrease in living standards.

6. Basket of goods can become outdated . In a fast-changing economy, goods people are buying is frequently changing. Trends may cause people to be buying new technology or in different places – and the traditional basket of goods can fail to keep up. For example, if there is a rise in internet shopping, inflation measures should give a higher weighting to online prices, but it takes time to update the basket of goods and which prices should be counted.

The consumer price index or CPI is a more direct measure than per capita GDP of the standard of living in a country. It is based on the overall cost of a fixed basket of goods and services bought by a typical consumer, relative to price of the same basket in some base year. By including a broad range of thousands of goods and services with the fixed basket, the CPI can obtain an accurate estimate of the cost of living. It is important to remember that the CPI is not a dollar value like GDP, but instead an index number or a percentage change from the base year.

Constructing the CPI

Each month, the Bureau of Labor Statistics publishes an updated CPI. While in practice this is a rather daunting task that requires the consideration of thousands of items and prices, in theory computing the CPI is simple.

The CPI is computed through a four-step process.

1. The fixed basket of goods and services is defined. This requires figuring out where the typical consumer spends his or her money. The Bureau of Labor Statistics surveys consumers to gather this information.

2. The prices for every item in the fixed basket are found. Since the same basket of goods and services is used across a number of time periods to determine changes in the CPI, the price for every item in the fixed basket must be found for every point in time.

3. The cost of the fixed basket of goods and services must be calculated for each time period. Like computing GDP, the cost of the fixed basket of goods and services is found by multiplying the quantity of each item times its price.

4. A base year is chosen and the index is computed. The price of the fixed basket of goods and services for each comparison year is then divided by the price of the fixed basket of goods in the base year. The result is multiplied by 100 to give the relative level of the cost of living between the base year and the comparison years.

Figure %: Goods and Services Consumed in Country B

For example, let's compute the CPI for Country B. In this simplified example, consumers in Country B only purchase bananas and backrubs (lucky fools). The first step is to fix the basket of goods. The typical consumer in Country B purchases 5 bananas and 2 backrubs in a given period of time, so our fixed basket is 5 bananas and 2 backrubs. The second step is to find the prices of these items for each time period. This data is reported in the table, above. The third step is to compute the basket's cost for each time period. In time period 1 the fixed basket costs (5 X $1) + (2 X $6) = $17. In time period 2 the fixed basket costs (5 X $2) + (2 X $7) = $24. In time period 3 the fixed basket costs (5 X $3) + (2 X $8) = $31. The fourth step is to choose a base year and to compute the CPI. Since any year can serve as the base year, let's choose time period 1. The CPI for time period 1 is ($17 / $17) X 100 = 100. The CPI for time period 2 is ($24 / $17) X 100 = 141. The CPI for time period 3 is ($31 / $17) X 100 = 182. Since the price of the goods and services that comprise the fixed basket increased from time period 1 to time period 3, the CPI also increased. This shows that the cost of living increased across this time period.

Changes in the CPI over time

As we have just seen, the CPI changes over time as the prices associated with the items in the fixed basket of goods change. In the example just explored, the CPI of Country B increased from 100 to 141 to 182 from time period 1 to time period 3. The percent change in the price level from the base year to the comparison year is calculated by subtracting 100 from the CPI. In this example, the percent change in the price level from the base period (time period 1) to time period 2 is 141 - 100 = 41%. The percent change in the price level from time period 1 to time period 3 is 182 - 100 = 82%. In this way, changes in the cost of living can be calculated across time.

Problems with the CPI

While the CPI is a convenient way to compute the cost of living and the relative price level across time, because it is based on a fixed basket of goods, it does not provide a completely accurate estimate of the cost of living. Three problems with the CPI deserve mention: the substitution bias, the introduction of new items, and quality changes. Let's examine each of these in detail.

SUBSTITUTION BIAS

The first problem with the CPI is the substitution bias. As the prices of goods and services change from one year to the next, they do not all change by the same amount. The number of specific items that consumers purchase changes depending upon the relative prices of items in the fixed basket. But since the basket is fixed, the CPI does not reflect consumer's preference for items that increase in price little from one year to the next. For example, if the price of backrubs in Country B jumped to $20 in time period 4 while the cost of bananas remained fixed at $3, consumer would likely purchase more bananas and fewer backrubs. This intuitive phenomenon of consumers substituting purchase of low priced items for higher priced items is not accounted for by the CPI.

INTRODUCTION OF NEW ITEMS

The second problem with the CPI is the introduction of new items. As time goes on, new items enter into the basket of goods and services purchased by the typical consumer. For example, if in time period 4 consumers in Country B began to purchase books, this would need to be included in an accurate estimate of the cost of living. But since the CPI uses only a fixed basket of goods, the introduction of a new product cannot be reflected. Instead, the new items, books, are left out of the calculation in order to keep time period 4 comparable with the earlier time periods.

QUALITY CHANGES

The third problem with the CPI is that changes in the quality of goods and services are not well handled. When an item in the fixed basket of goods used to compute the CPI increases or decreases in quality, the value and desirability of the item changes. For example, if backrubs in time period 4 suddenly became much more satisfying than in earlier time periods, but the price of backrubs did not change, then the cost of living would remain the same while the standard of living would increase. This change would not be reflected in the CPI from one year to the next. While the Bureau of Labor Statistics attempts to correct this problem by adjusting the price of goods in the calculations, in reality this remains a major problem for the CPI.

Effects of Inflation on the Economy

In other words, inflation refers to a situation in which you find that it takes more units of currency — if you are in the United States, it would be U.S. dollars — to buy goods and services than it took you yesterday or last year to buy the same goods and services.

Historically, for domestic investors, a high inflation rate has been considered anything over the 3% to 4% annual range with the 3% to 4% figure considered benign. This rate, which would be a godsend for most of the world, is caused by numerous things, some of which have to do with certain monetary and structural advantages in the U.S. economy that may not last indefinitely. That said, for the past decade, the country has experienced a historically low interest rate environment due to unprecedented intervention in the monetary system by the Federal Reserve and lawmakers as part of the efforts to stave off collapse of the global economic system back between 2007 and 2009 when the real estate bubble peaked and imploded, dragging down all sorts of asset classes with it, including the stock market.

Still, if history is any guide, it's useful to pay attention to inflation because it's bound to rear its head again at some point in the future. What are the specific effects of inflation? Why should you be concerned about its spectre haunting the economy?

Inflation Begins with Money Losing Value

As you can see, the major effect of inflation is that a nation's nominal currency loses value - it takes more Dollars, or Pounds Sterling, or Euros, or Yen, or Swiss Francs, to buy the same quantity of goods. The obvious consequence, or effect, of this is that inflation makes it more difficult for people to afford the basic necessities, not to mention luxuries, of life if their labor is not able to keep pace with the inflation rate. This causes families to struggle as they attempt to keep up with the price of everything from cornflakes to college tuition.

As you can see, high rates of inflation can cause major problems as time progresses.

Inflation Transfers Money From Savers and Investors to Debtors

Moving beyond the basic effects of inflation, you come to realize there are two other major effects of inflation.

Put more bluntly, the net effect of inflation is that it serves to transfer money from savers and investors to debtors. It punishes those who postponed their enjoyment and invested in building roads, schools, factories, and businesses and gives their reward to those who are in debt. It is a severe moral injustice, mostly caused by governments printing money — or, these days, making electronic entries — to cover expenses that cannot be paid out of the general treasury revenue.

The effect of inflation on savers and investors is that they lose purchasing power. Whether you've buried your money in a coffee can in the backyard or it's sitting in the safest bank in the world, it is becoming less valuable with the passage of time. This can create an incentive to spend money or, under the wrong conditions, a disincentive to invest money in things that would otherwise be good for civilization in the long-run. 1.

The effect of inflation on debtors is positive because debtors can pay their debts with money that is less valuable. If you owed $100,000 at 5% interest, but inflation suddenly spiked to 20% per year, you are effectively watching 15% of your debt get paid off each year, totally free to you. At some point, you'd be able to get a minimum wage job for $100 per hour and obliterate your debt.

TARIFFS vs QUOTAS

A tariff is usually an import duty placed on foreign goods to make them more expensive in a national market; this theoretically has the effect of increasing the competitiveness of national industries.

A quota is a set quantity of material which must be delivered, produced, or acquired in order to fill a requirement. If a garment factory owner mandates that his workers produces 20 garments per day, the workers have a 20-garment quota.

Tariffs and quantities restrictions (commonly known as import quotas) both serve the purpose of controlling the number of foreign products that can enter the domestic market. There are a few reasons why tariffs are a more attractive option than import quotas.

Three Reasons Why Tariffs Are Preferable to Quotas:

Tariffs Generate Revenue for the Government: * If the U.S government puts a 20% tariffs on imported Indian cricket bats they will collect $10 million dollars if $50 million worth of Indian cricket bats are imported in a year. * That may sound like small change for a government, but given the millions of different goods, which are imported into a country, the numbers start to add up. * The Progressive Policy Institute has found that the United States collects 20 billion dollars a year in tariff revenue. This revenue would be lost to the government unless their import quota system charged a licencing fee on importers.

Import Quotas Can Lead to Administrative Corruption: * This gives the customs officials a lot of power as they can now give access to favoured corporations and deny access to those who are not favoured. * This can cause a serious corruption problem in countries with import quotas as the importers chosen to meet the quota are the ones who can provide the most favours to the customs officers.

* A tariff system can achieve the same objective without the possibility of corruption. The tariff is set at a level which causes the price of the cricket bats to rise just enough so that the demand for cricket…

CUSTOMS UNION – ADVANTAGES AND DISADVANTAGES

A Customs Union occurs when a group of countries agree to have free trade amongst themselves and agree on a common external tariff to countries outside the zone. It is a step towards a single market, but a customs union doesn't include freedom of movement for people and goods. A customs union is often examined from the perspective of trade creation and trade diversion .

Advantages of a customs union

Free trade amongst member countries. For an area like the EU, this is a substantial part of the economy.

Customs union eliminates the need for some regulations and customs checks at the border. Depending on the manufacturer, between 20% to 50% of the value of the supply chain is imported from the EU (Sky News).

Note: It has been suggested that technology can implement custom checks automatically without the need to stop at borders. (UK gov – future customs relationship)

Easier to negotiate trade deals as large economic block. Trade deals take a long time. Dealing with a block of 350 million+ people is more attractive than having to do deals with individual countries.

A customs union is an important step towards closer to economic integration and a single market (though to those concerned over greater integration may see this as a disadvantage)

Trade deflection

Trade deflection occurs when a country ‘cherry picks’ the country with the lowest tariff in a free trade area and then moves the good within the free trade area. A customs union with common external tariff stops this.

For example, suppose Spain had a 30% tariff on import of steel and the UK had a 0% tariff. In that case, a US firm would export the steel to the UK (or set up a factory in UK) and then have the steel transported through the continent to Spain. In that way, the US firm can export to Spain but benefit from UK tariff rates. This is why in a free trade area, they have rules to check the country of origin and avoid this inefficient tariff avoidance) This is a reason why a common external tariff makes the most sense if you want a truly free trade area.

Disadvantages of a customs union

A country can’t negotiate separate deals because there is a common external tariff. This reduces economic and national sovereignty. Critics of the EU argue it has meant the UK has experienced higher food prices and reduced the welfare of low-income consumers who face higher prices.

It is worth noting – Deals can be struck if they respect the common external tariff. Turkey is in a partial EU customs union so is free to negotiate deals in other areas like agriculture where it is not bound by its customs union arrangement.

A country cannot give preferential tariffs to a declining industry. For example, if UK steel industry was having difficulty the government might like to put tariffs on imports to protect domestic sales, however, in a customs union you can’t choose to have this separate tariff.

Trade diversion . A common external tariff can lead to trade diversion. For example, when UK joined EEC, it had to raise tariffs on imports from the Commonwealth. This means higher prices for imports of butter and lamb.

Difference between customs union and Free Trade Area

A free trade area does not have a common external tariff and countries are free to pursue their own trade deals.

Free Trade areas have rules-of-origin requirements to prove where products came from. A customs union doesn’t have this. In other words, once a good is imported into any country in the EU customs union, that can be freely traded around the EU.

Difference between customs union and single market

A customs union has free trade and common external tariff

A single market has free movement of people, goods and services. If you are in the customs union, you don't have to accept the freedom of movement of goods and people which Single Market membership entails.

Countries like Norway pay substantial sums to get Single Market access. A single market aims to have common rules and regulations about the quality of products.

DIFFERENCE BETWEEN ECONOMIC GROWTH AND ECONOMIC DEVELOPMENT

Economic Growth refers to the rise in the value of everything produced in the economy. It implies the yearly increase in the country's GDP or GNP, in percentage terms. It alludes to considerable rise in per-capita national product, over a period, i.e. the growth rate of increase in total output, must be greater than the population growth rate.

Economic Growth is often contrasted with Economic Development , which is defined as the increase in the economic wealth of a country or a particular area, for the welfare of its residents. Here, you should know that economic growth is an essential but not the only condition for economic development.

The economic trend in a country as a whole, is the major component for its business environment. An economy whose growth rate is high provides a promising business prospect and thus builds business confidence. In this article, you will find all the substantial differences between economic growth and economic development.

Key Differences Between Economic Growth and Economic Development

The fundamental differences between economic growth and development are explained in the points given below:

1. Economic growth is the positive change in the real output of the country in a particular span of time economy. Economic Development involves a rise in the level of production in an economy along with the advancement of technology, improvement in living standards and so on.

2. Economic growth is one of the features of economic development.

3. Economic growth is an automatic process. Unlike economic development, which is the outcome of planned and result-oriented activities.

4. Economic growth enables an increase in the indicators like GDP, per capita income, etc. On the other hand, economic development enables improvement in the life expectancy rate, infant mortality rate, literacy rate and poverty rates.

5. Economic growth can be measured when there is a positive change in the national income, whereas economic development can be seen when there is an increase in real national income.

6. Economic growth is a short-term process which takes into account yearly growth of the economy. But if we talk about economic development it is a long term process.

7. Economic Growth applies to developed economies to gauge the quality of life, but as it is an essential condition for the development, it applies to developing countries also. In contrast to, economic development applies to developing countries to measure progress.

8. Economic Growth results in quantitative changes, but economic development brings both quantitative and qualitative changes.

9. Economic growth can be measured in a particular period. As opposed to economic development is a continuous process so that it can be seen in the long run.

Example

To understand the two terms economic growth and economic development, we will take an example of a human being. The term growth of human beings simply means the increase in their height and weight which is purely physical. But if you talk about human development, it will take into account both the physical and abstract aspects like maturity level, attitudes, habits, behaviour, feelings, intelligence and so on.

In the like manner, growth of an economy can be measured through the increase in its size in the current year in comparison to previous years, but economic development includes not only physical but also non-physical aspects that can only be experienced like improvement in the lifestyle of the inhabitants, increase in individual income, improvement in technology and infrastructure, etc.

Conclusion

After the above discussion, we can say that economic development is a much bigger concept than economic growth. In other words, the economic development includes economic growth. As the former uses various indicators to judge the progress in an economy as a whole, the latter uses only specific indicators like gross domestic product, individual income etc.

ECONOMIC UNION

An economic union is a type of trade bloc which is composed of a common market with a customs union. The participant countries have both common policies on product regulation, freedom of movement of goods , services and the factors of production (capital and labour) and a common external trade policy. When an economic union involves unifying currency it becomes a economic and monetary union .

Purposes for establishing an economic union normally include increasing economic efficiency and establishing closer political and cultural ties between the member countries.

Economic union is established through trade pact.

FREE TRADE AREA

A free-trade area is the region encompassing a trade bloc whose member countries have signed a free-trade agreement (FTA). Such agreements involve cooperation between at least two countries to reduce trade barriers – import quotas and tariffs – and to increase trade of goods and services with each other. [1] If people are also free to move between the countries, in addition to a free-trade agreement, it would also be considered an open border . It can be considered the second stage of economic integration.

Description

Unlike a customs union (the third stage of economic integration), members of a free trade area do not have a common external tariff, which means they have different quotas and

customs taxes, as well as other policies with respect to non-members. To avoid tariff evasion (through re-exportation) the countries use the system of certification of origin most commonly called rules of origin , where there is a requirement for the minimum extent of local material inputs and local transformations adding value to the goods. Only goods that meet these minimum requirements are entitled to the special treatment envisioned by the free trade area provisions.

"Cumulation" is the relationship between different FTAs regarding the rules of origin – sometimes different FTAs supplement each other, in other cases there is no cross-cumulation between the FTAs. A free-trade area is a result of a free-trade agreement (a form of trade pact) between two or more countries. Free-trade areas and agreements (FTAs) are cascadable to some degree – if some countries sign agreements to form a free-trade area and choose to negotiate together (either as a trade bloc or as a forum of individual members of their FTA) another free-trade agreement with another country (or countries) – then the new FTA will consist of the old FTA plus the new country (or countries).

Within an industrialized country there are usually few if any significant barriers to the easy exchange of goods and services between parts of that country. For example, there are usually no trade tariffs or import quotas; there are usually no delays as goods pass from one part of the country to another (other than those that distance imposes); there are usually no differences of taxation and regulation. Between countries, on the other hand, many of these barriers to the easy exchange of goods often do occur. It is commonplace for there to be import duties of one kind or another (as goods enter a country) and the levels of sales tax and regulation often vary by country.

The aim of a free-trade area is to reduce barriers to exchange so that trade can grow as a result of specialisation, division of labour, and most importantly via comparative advantage . The theory of comparative advantage argues that in an unrestricted marketplace (in equilibrium) each source of production will tend to specialize in that activity where it has comparative (rather than absolute) advantage. The theory argues that the net result will be an increase in income and ultimately wealth and well-being for everyone in the free-trade area. The theory refers only to aggregate wealth and says nothing about the distribution of wealth; in fact there may be significant losers, in particular among the recently protected industries with a comparative disadvantage. The overall gains from trade can be used to compensate for the effects of reduced trade barriers by appropriate inter-party transfers.